BLOCK – 2

CORPORATE LEVEL GROWTH STRATEGY

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This block deals with the concept of strategy and explains different types of corporate strategies. Different types of expansion strategies and the rationale for implementing these strategies are dealt with. It also focuses on integration and diversification strategies and the rationale of adopting these strategies. Finally the basic concept of strategic alliances, the trends in the field of strategic alliances at the global level and the planning process of successful alliances are discussed. This block has the following **three units**:

UNIT 3 INTENSIVE GROWTH STRATEGIES

Objectives

After reading this unit, you should be able to:

- acquaint yourself with the concept of corporate strategy;
- familiarize yourself with the various generic corporate strategies;
- explain the nature, scope and approaches to implementation of stability and growth strategies; and
- finally discuss the rationale for adopting these strategies.

Structure

3.1 INTRODUCTION

Strategic management deals with the issues, concepts, theories approaches and action choices related to an organization's interaction with the external environment.

Strategy, in general, refers to how a given objective will be achieved. Strategy, therefore, is mainly concerned with the relationships between ends and means, that is, between the results we seek and the resources at our disposal. For the most part, strategy is concerned with deploying the resources at your disposal whereas tactics is concerned with employing them. Together, strategy and tactics bridge the gap between ends and means.

Some organizations are groups of different business and functional units, each of them must be having its own set of goals, which may not necessarily be same as the goals of the corporate headquarters looking after the interests of the entire organization.

Since the goals are different and the means to achieve them are different, strategies are likely to be different. This understanding has led to the hierarchical division of strategy at two levels: a **business-level (competitive) strategy and a company-wide strategy (corporate**

strategy) (Porter, 1987). In addition to these strategies, many authors also mention functional strategies, practiced by the functional units of a business unit, as another level of strategy.

Corporate Strategies: These are concerned with the broad, long-term questions of "what businesses are we in, and what do we want to do with these businesses?" The corporate strategy sets the overall direction the organization will follow. It matters whether a firm is engaged in one or several businesses. This will influence the overall strategic direction, what corporate strategy is followed, and how that strategy is implemented and managed. Corporate strategies vary from drastic retrenchment through aggressive growth. Top management need to carefully assess the environment before choosing the fundamental strategies the organization will use to achieve the corporate objectives.

Competitive Strategies: Those decisions that determine how the firm will compete in a specific business or industry. This involves deciding how the company will compete within each line of business or strategic business unit (SBU). Competitive strategies include being a low-cost leader, differentiator, or focuser. Formulating a specific competitive strategy requires understanding the competitive forces that determine how intense the competitive forces are and how best to compete.

Functional Strategies: Also called operational strategies, are the short-term (less than one year), goal-directed decisions and actions of the organization's various functional departments. These are more localized and shorter-horizon strategies and deal with how each functional area and unit will carry out its functional activities to be effective and maximize resource productivity. Functional strategies identify the basic courses of action that each functional department in a strategic business unit will pursue to contribute to the attainment of its goals.

In a nutshell, corporate-level strategy identifies the portfolio of businesses that in total will comprise the corporation and the ways in which these businesses will relate. The competitive strategy identifies how to build and strengthen the business's long-term competitive position in the marketplace while the functional strategies identify the basic courses of action that each department will pursue to contribute to the attainment of its goals.

Corporate Strategy

Corporate strategy is essentially a blueprint for the growth of the firm. The corporate strategy sets the overall direction for the organization to follow. It also spells out the extent, pace and timing of the firm's growth. Corporate strategy is mainly concerned with the choice of businesses, products and markets. The competitive and functional strategies of the firm are formulated to synchronize with the corporate strategy to enable it to reach its desired objectives. Defined formally, a corporate-level strategy is an action taken to gain a competitive advantage through the selection and management of a mix of businesses competing in several industries or product markets. Corporate strategies are normally expected to help the firm earn above-average returns and create value for the shareholders (Markides, 1997). Corporate strategy addresses the issues of a multi-business enterprise as a whole. Corporate strategy addresses issues relating to the intent, scope and nature of the enterprise and in particular has to provide answers to the following questions:

- What should be the nature and values of the enterprise in the broadest sense? What are the aims in terms of creating value for stakeholders?
- What kind of businesses should we be in? What should be the scope of activity in the future so what should we divest and what should we seek to add?
- What structure, systems and processes will be necessary to link the various businesses to each other and to the corporate centre?
- How can the corporate centre add value to make the whole worth more than the sum of the parts?

A primary approach to corporate level strategy is diversification, which requires the top-level executives to craft a multi-business strategy. In fact, one reason for the use of a diversification strategy is that managers of diversified firms possess unique management skills that can be used to develop multi-business strategies and enhance a firm's competitiveness (Collins and Montgomery, 1998). Most corporate level strategies have three major components:

a) **Growth or directional strategy** outlines the growth objectives ranging from drastic retrenchment through stability to varying degrees of growth and methods and approaches to accomplish these objectives.

b) Corporations are responsible for creating value through their businesses. They do so by using a **portfolio strategy** to manage their portfolio of businesses, ensure that the businesses are successful over the long-term, develop business units, and ensure that each business is compatible with others in the portfolio. Portfolio strategy plans the necessary moves to establish positions in different businesses and achieve an appropriate amount and kind of diversification. Portfolio strategy is an important component of corporate strategy in a multi-business corporation. The top management views its product lines and business unit as a portfolio of investments from which it expects a profitable return. A key part of corporate strategy is making decisions on how many, what types, and which specific lines of business the company should be in. This may involve decisions to increase or decrease the breadth of diversification by closing out some lines of business, adding others, and changing emphasis among the portfolio of businesses. A portfolio strategy is concerned not only about choice of business portfolio, but also about portfolio of geographical markets for acquisition of inputs, locating various value chain activities and selling of outputs. In short, a portfolio strategy facilitates efficient allocation of corporate resources, links the businesses and geographically dispersed activities and builds synergy leading to corporate or parenting advantage.

c) **Corporate parenting strategy** which tries to capture valuable cross-business strategic fits in a portfolio of business and turn them into competitive advantages, especially transferring and sharing related technology, procurement leverage, operating facilities, distribution channels, and/or customers. In other words, it decides how we allocate resources and manages capabilities and activities across the portfolio-where do we put special emphasis, and how much do we integrate our various lines of business. Corporate parenting views the corporation in terms of resources and capabilities that can be used to build business units value as well as generate synergies across business units.

Corporate parenting generates corporate strategy by focusing on the core competencies of the parent corporation and on the value created from the relationship between the parent and its businesses. To achieve corporate parenting advantage a corporation needs to do at least the following:

- Better choice of business to compete.
- Superior acquisition and development of corporate resources.
- Effective deployment, monitoring and controlling of corporate resources.
- Sharing and transferring of resources from one business to other leading to synergy.

3.2 NATURE AND SCOPE OF CORPORATE STRATEGIES

Growth is essential for an organization. Organizations go through an inevitable progression from growth through maturity, revival, and eventually decline. The broad corporate strategy alternatives, sometimes referred to as grand strategies, are: stability/consolidation, expansion /growth, divestment /retrenchment and combination strategies. During the organizational life cycle, managements choose between growth, stability, or retrenchment strategies to overcome deteriorating trends in performance. Just as every product or business unit must follow a business strategy to improve its competitive position, every corporation must decide its orientation towards growth by asking the following three questions:

- Should we expand, cut back, or continue our operations unchanged?
- Should we concentrate our activities within our current industry or should we diversify into other industries?
- If we want to grow and expand nationally and/or globally, should we do so through internal development or through external acquisitions, mergers, or strategic alliances?

At the core of corporate strategy must be a clear logic of how the corporate objectives will be achieved. Most of the strategic choices of successful corporations have a central economic logic that serves as the fulcrum for profit creation. Some of the major economic reasons for choosing a particular type of corporate strategy are:

a) Exploiting operational economies and financial economies of scope.

b) Uncertainty avoidance and efficiency.

c) Possession of management skills that help to create corporate advantage.

d) Overcoming the inefficiency in factor markets and

e) Long term profit potential of a business.

The non-economic reasons for the choice of corporate strategy elements include a) dominant view of the top management, b) employee incentives to diversify (maximizing management compensation), c) desire for more power and management control, d) ethical considerations and e) corporate social responsibility.

There are four types of generic corporate strategies. These are:

- **Stability strategies**: make no change to the company's current activities
- **Growth strategies**: expand the company's activities
- **Retrenchment strategies**: reduce the company's level of activities
- **Combination strategies**: a combination of above strategies

Each one of the above strategies has a specific objective. For instance, a concentration strategy seeks to increase the growth of a single product line while a diversification strategy seeks to alter a firm's strategic track by adding new product lines. A stability strategy is utilized by a firm to achieve steady, but slow improvements in growth while a retrenchment strategy (which includes harvesting, turnaround, divestiture, or liquidation strategies) is used to reverse poor-organizational performance. Once a strategic direction has been identified, it then becomes necessary for management to examine business and functional level strategies of the firm to make sure that all units are moving towards the achievement of the company-wide corporate strategy.

Stability Strategy

Stability strategy is a strategy in which the organization retains its present strategy at the corporate level and continues focusing on its present products and markets. The firm stays with its current business and product markets; maintains the existing level of effort; and is satisfied with incremental growth. It does not seek to invest in new factories and capital assets, gain market share, or invade new geographical territories. Organizations choose this strategy when the industry in which it operates or the state of the economy is in turmoil or when the industry faces slow or no growth prospects. They also choose this strategy when they go through a period of rapid expansion and need to consolidate their operations before going for another bout of expansion.

Growth Strategy

Firms choose expansion strategy when their perceptions of resource availability and past financial performance are both high. The most common growth strategies are diversification at the corporate level and concentration at the business level. Reliance Industry, a vertically integrated company covering the complete textile value chain has been repositioned itself to be a diversified conglomerate by entering into a range of business such as power generation and distribution, insurance, telecommunication, and information and communication technology services. Diversification is defined as the entry of a firm into new lines of activity, through internal or external modes. The primary reason a firm pursues increased diversification is value creation through economies of scale and scope, or market dominance. In some cases firms choose diversification because of government policy, performance problems and uncertainty about future cash flow. In one sense, diversification is a risk management tool, in that its successful use reduces a firm's vulnerability to the consequences of competing in a single market or industry. Risk plays a very vital role in selecting a strategy and hence, continuous evaluation of risk is linked with a firm's ability to achieve strategic advantage (Simons, 1999). Internal development can take the form of investments in new products, services, customer segments, or geographic markets including international expansion. Diversification is accomplished through external modes through acquisitions and joint ventures. Concentration can be achieved through vertical or horizontal growth. Vertical growth occurs when a firm takes over a function previously provided by a supplier or a distributor. Horizontal growth occurs when the firm expands products into new geographic areas or increases the range of products and services in current markets.

Retrenchment Strategy

Many firms experience deteriorating financial performance resulting from market erosion and wrong decisions by management. Managers respond by selecting corporate strategies that redirect their attempt to turnaround the company by improving their firm's competitive position or divest or wind up the business if a turnaround is not possible. Turnaround strategy is a form of retrenchment strategy, which focuses on operational improvement when the state of decline is not severe. Other possible corporate level strategic responses to decline include growth and stability.

Combination Strategy

The three generic strategies can be used in combination; they can be sequenced, for instance growth followed by stability, or pursued simultaneously in different parts of the business unit. Combination Strategy is designed to mix growth, retrenchment, and stability strategies and apply them across a corporation's business units. A firm adopting the combination strategy may apply the combination either simultaneously (across the different businesses) or sequentially. For instance, Tata Iron & Steel Company (TISCO) had first consolidated its position in the core steel business, then divested some of its non-core businesses. Reliance Industries, while consolidating its position in the existing businesses such as textile and petrochemicals, aggressively entered new areas such as Information Technology.

Activity 1

a) Explain the various corporate, competitive and functional strategies followed by a firm of your choice. What is the impact of these strategies on the firm's performance?

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b) Search the website for information on Reliance Group, Tata group and Aditya Birla group of companies. Compare the business models and briefly explain the type of corporate strategies that these corporates are following.

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3.3 NATURE OF STABILITY STRATEGY

A firm following stability strategy maintains its current business and product portfolios; maintains the existing level of effort; and is satisfied with incremental growth. It focuses on fine-tuning its business operations and improving functional efficiencies through better deployment of resources. In other words, a firm is said to follow stability/ consolidation strategy if:

- It decides to serve the same markets with the same products;
- It continues to pursue the same objectives with a strategic thrust on incremental improvement of functional performances; and
- It concentrates its resources in a narrow product-market sphere for developing a meaningful competitive advantage.

Adopting a stability strategy does not mean that a firm lacks concern for business growth. It only means that their growth targets are modest and that they wish to maintain a status quo. Since products, markets and functions remain unchanged, stability strategy is basically a defensive strategy. A stability strategy is ideal in stable business environments where an organization can devote its efforts to improving its efficiency while not being threatened with external change. In some cases, organizations are constrained by regulations or the expectations of key stakeholders and hence they have no option except to follow stability strategy.

Generally large firms with a sizeable portfolio of businesses do not usually depend on the stability strategy as a main route, though they may use it under certain special circumstances. They normally use it in combination with the other generic strategies, adopting stability for some businesses while pursuing expansion for the others. However, small firms find this a very useful approach since they can reduce their risk and defend their positions by adopting this strategy. Niche players also prefer this strategy for the same reasons.

Conditions Favouring Stability Strategy

Stability strategy does entail changing the way the business is run, however, the range of products offered and the markets served remain unchanged or narrowly focused. Hence, the stability strategy is perceived as a non-growth strategy. As a matter of fact, stability strategy does provide room for growth, though to a limited extent, in the existing product-market area to achieve current business objectives. Implementing stability strategy does not imply stagnation since the basic thrust is on maintaining the current level of performance with incremental growth in ensuing periods. An organization's strategists might choose stability when:

- The industry or the economy is in turmoil or the environment is volatile. Uncertain conditions might convince strategists to be conservative until they became more certain.
- Environmental turbulence is minimal and the firm does not foresee any major threat to itself and the industry concerned as a whole.
- The organization just finished a period of rapid growth and needs to consolidate its gains before pursuing more growth.
- The firm's growth ambitions are very modest and it is content with incremental growth.
- The industry is in a mature stage with few or no growth prospects and the firm is currently in a comfortable position in the industry.

Rationale for Using Stability Strategy

There are a number of circumstances in which the most appropriate growth stance for a company is stability rather than growth. Stability strategy is normally followed for a brief period to consolidate the gains of its expansion and needs a breathing spell before embarking on the next round of expansion. Organizations need to 'cool off' for a while after an aggressive phase of expansion and must stabilize for a while or they will become inefficient and unmanageable. India Cements went through a rapid expansion by acquiring other cement companies before stabilizing and consolidating its operations. Videocon and BPL had first diversified into new businesses and then started consolidating once faced with stiff competition.

Managers pursue stability strategy when they feel that the enterprise has been performing well and wish to maintain the same trend in subsequent years. They would prefer to adopt the existing product-market posture and avoid departing from it. Sometimes, the management is content with the status quo because the company enjoys a distinct competitive advantage and hence does not perceive an immediate threat.

Stability strategy is also adopted in a number of organizations because the management is not interested in taking risks by venturing into unknown terrain. In fact they do not consider any other option as long as the pursuit of existing business activity produces the desired results. Conservative managers believe product development, market development or new ways of doing business entail great risk and therefore, avoid taking decisions, which can endanger the company. A number of managers also pursue consolidation strategy involuntarily. In fact, they do not react to environmental changes and avoid drastic changes in the current strategy unless warranted by extraordinary circumstances.

Sometimes environmental forces compel an organization to follow the strategy of status quo. This is particularly true for bigger organizations, which have acquired dominant market share. Such organizations are usually not permitted by the government to expand because it may lead to monopolistic and restrictive trade practices detrimental to public interest.

Approaches to Stability Strategy

There are various approaches to developing stability/consolidation strategy. The management has to select the one that best suits the corporate objective.

Some of these approaches are discussed below. In all these approaches, the fundamental course of action remains the same, but the circumstances in which the firms choose various options differ.

Holding Strategy: This alternative may be appropriate in two situations: (a) the need for an opportunity to rest, digest, and consolidate after growth or some turbulent events - before continuing a growth strategy, or (b) an uncertain or hostile environment in which it is prudent to stay in a "holding pattern" until there is change in or more clarity about the future in the environment. With a holding strategy the company continues at its present rate of development. The aim is to retain current market share. Although growth is not pursued as such, this will occur if the size of the market grows. The current level of resource input and managerial effort will not be increased, which means that the functional strategies will continue at previous levels. This approach suits a firm, which does not have requisite resources to pursue increased growth for a longer period of time. At times, environmental changes prohibit a continuation in growth.

Stable Growth Strategy: This alternative essentially involves avoiding change, representing indecision or timidity in making a choice for change. Alternatively, it may be a comfortable, even long-term strategy in a mature, rather stable environment, e.g., a small business in a small town with few competitors. It simply means that the firm's strategy does not include any bold initiatives. It will just seek to do what it already does, but a little better. In this approach, the firm concentrates on one product or service line. It grows slowly but surely, increasingly its market penetration by steadily adding new products or services and carefully expanding its market.

Harvesting Strategy: Where a firm has the dominant market share, it may seek to take advantage of this position and generate cash for future business expansion. This is termed as harvesting strategy and is usually associated with cost cutting and price increases to generate extra profits. This approach is most suitable to a firm whose main objective is to generate cash. Even market share may be sacrificed to earn profits and generate funds. A number of ways can be used to accomplish the objective of making profits and generating funds. Some of these are selective price increases and reducing costs without reducing price. In this approach, selected products are milked rather than nourished and defended. Hindustan Lever's Lifebuoy soap is an example in point. It yielded large profits under careful management.

Profit or Endgame Strategy: A profit strategy is one that capitalizes on a situation in which old and obsolete product or technology is being replaced by a new one. This type of strategy does not require new investment, so it is not a growth strategy. Firms adopting this strategy decide to follow the same technology, at least partially, while transiting into new technological domains. Strategists in these firms reason that the huge number of products based on older technologies on the market would create an aftermarket for spare parts that would last for years. Sylvania, RCA, and GE are among the firms that followed this strategy. They decided to stay in the vacuum tube market until the "end of the game." As with most business decisions, timing is critical. All competitors eventually must shelve the old assets at some point of time and move to the new product or technology. The critical question is, "Can we make more money by using these assets or by selling them?" The answer to that question changes as time passes.

Activity 2

Identify Indian companies following stability strategy. Also identify the type of stability strategy followed by these firms.

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3.4 EXPANSION STRATEGIES

Every enterprise seeks growth as its long-term goal to avoid annihilation in a relentless and ruthless competitive environment. Growth offers ample opportunities to everyone in the organization and is crucial for the survival of the enterprise. However, this is possible only when fundamental conditions of expansion have been met. Expansion strategies are designed to allow enterprises to maintain their competitive position in rapidly growing national and international markets. Hence to successfully compete, survive and flourish, an enterprise has to pursue an expansion strategy. Expansion strategy is an important strategic option, which enterprises follow to fulfill their long-term growth objectives. They pursue it to gain significant growth as opposed to incremental growth envisaged in stability strategy. Expansion strategy is adopted to accelerate the rate of growth of sales, profits and market share faster by entering new markets, acquiring new resources, developing new technologies and creating new managerial capabilities.

Expansion strategy provides a blueprint for business enterprises to achieve their long-term growth objectives. It allows them to maintain their competitive advantage even in the advanced stages of product and market evolution. Growth offers economies of scale and scope to an organization, which reduce operating costs and improve earnings. Apart from these advantages the organization gains a greater control over the immediate environment because of its size. This influence is crucial for survival in mature markets where competitors aggressively defend their market shares.

Conditions for Opting for Expansion Strategy

Firms opt for expansion strategy under the following circumstances:

- When the firm has lofty growth objectives and desires fast and continuous growth in assets, income and profits. Expansion through diversification would be especially useful to firms that are eager to achieve large and rapid growth since it involves exploiting new opportunities outside the domain of current operations.
- When enormous new opportunities are emerging in the environment and the firm is ready and willing to expand its business scope.
- Firms find expansion irresistible since sheer size translates into superior clout.

- When a firm is a leader in its industry and wants to protect its dominant position.
- Expansion strategy is opted in volatile situations. Substantive growth would act as a cushion in such conditions.
- When the firm has surplus resources, it may find it sensible to grow by leveraging on its strengths and resources.
- When the environment, especially the regulatory scenario, blocks the growth of the firm in its existing businesses, it may resort to diversification to meets its growth objectives.
- When the firm enjoys synergy that ensues by tapping certain opportunities in the environment, it opts for expansion strategies. Economies of scale and scope and competitive advantage may accrue through such synergistic operations. Over the last two decades, in response to economic liberalisation, some companies in India expanded the scale of existing businesses as well as diversified into many new businesses.

Growth of a business enterprise entails realignment of its strategies in product-market environment. This is achieved through the basic growth approaches of intensive expansion, integration (horizontal and vertical integration), diversification and international operations. Firms following intensification strategy concentrate on their primary line of business and look for ways to meet their growth objectives by increasing their size of operations in this primary business. A company may expand externally by integrating with other companies. An organization expands its operations by moving into a different industry by pursuing diversification strategies. An organization can grow by "going international", i.e., by crossing domestic borders by employing any of the expansion strategies discussed so far.

3.5 EXPANSION THROUGH INTENSIFICATION

Intensification involves expansion within the existing line of business. Intensive expansion strategy involves safeguarding the present position and expanding in the current product-market space to achieve growth targets. Such an approach is very useful for enterprises that have not fully exploited the opportunities existing in their current product-market domain. A firm selecting an intensification strategy, concentrates on its primary line of business and looks for ways to meet its growth objectives by increasing its size of operations in its primary business. Intensive expansion of a firm can be accomplished in three ways, namely, market penetration, market development and product development first suggested in Ansoff's model.

Intensification strategy is followed when adequate growth opportunities exist in the firm's current product-market space. However, while going in for internal expansion, the management should consider the following factors.

- While there are a number of expansion options, the one with the highest net present value should be the first choice.
- Competitive behaviour should be predicted in order to determine how and when the competitors would respond to the firm's actions.

The firm must also assess its strengths and weaknesses against its competitors to ascertain its competitive advantages.

- The conditions prevailing in the environment should be carefully examined to determine the demand for the product and the price customers are willing to pay.
- The firm must have adequate financial, technological and managerial capabilities to expand the way it chooses.
- Technological, social and demographic trends should be carefully monitored before implementing product or market development strategies. This is very crucial, especially, in a volatile business environment.

Ansoff's Product-Market Expansion Grid

The product/market grid first presented by Igor Ansoff (1968), shown in exhibit 3.1, has proven to be very useful in discovering growth opportunities. This grid best illustrates the various intensification options available to a firm. The product/market grid has two dimensions, namely, products and markets. Combinations of these two dimensions result in four growth strategies. According to Ansoff's Grid, three distinct strategies are possible for achieving growth through the intensification route. These are:

- **Market Penetration:** The firm seeks to achieve growth with existing products in their current market segments, aiming to increase its markets share.
- **Market Development:** The firm seeks growth by targeting its existing products to new market segments.
- **Product Development:** The firm develops new products targeted to its existing market segments.
- **Diversification:** The firm grows by diversifying into new businesses by developing new products for new markets.

Exhibit 3.1: Ansoff's Grid

Markets/Products	**Current Markets**	**New Markets**
Current Products	Market Penetration	Market Development
New Products	Product Development	Diversification

Market Penetration Strategy

When a firm believes that there exist ample opportunities by aggressively exploiting its current products and current markets, it pursues market penetration approach. Market penetration involves achieving growth through existing production in existing markets and a firm can achieve this by:

- Motivating the existing customers to buy its products more frequently and in larger quantities. Market penetration strategy generally focuses on changing the infrequent users of the firm's products or services to frequent users and frequent users to heavy users. Typical schemes used for this purpose are volume discounts, bonus cards, price promotion, heavy advertising, regular publicity, wider distribution and obviously through retention of customers by means of an effective customer relationship management.

- Increasing its efforts to attract its competitors' customers. For this purpose, the firm must develop significant competitive advantages. Attractive product design, high product quality, attractive prices, stronger advertising, and wider distribution can assist an enterprise in gaining lead over its competitors. All these require heavy investment, which only firms with substantial resources, can afford. Firms less endowed may search for niche segments. Many small manufacturers, for instance, survive by seeking out and cultivating profitable niches in the market. They may also grow by developing highly specialized and unique skills to cater to a small segment of exclusive customers with special requirements.
- Targeting new customers in its current markets. Price concessions, better customer service, increasing publicity and other techniques can be useful in this effort.

In a growing market, simply maintaining market share will result in growth, and there may exist opportunities to increase market share if competitors reach capacity limits. While following market penetration strategy, the firm continues to operate in the same markets offering the same products. Growth is achieved by increasing its market share with existing products. However, market penetration has limits, and once the market approaches saturation another strategy must be pursued if the firm is to continue to grow. Unless there is an intrinsic growth in its current market, this strategy necessarily entails snatching business away from competitors. The market penetration strategy is the least risky since it leverages many of the firm's existing resources and capabilities. Another advantage of this strategy is that it does not require additional investment for developing new products.

Market Development Strategy

Market Development strategy tries to achieve growth by introducing existing products in new markets. Market development options include the pursuit of additional market segments or geographical regions. The development of new markets for the product may be a good strategy if the firm's core competencies are related more to the specific product than to its experience with a specific market segment or when new markets offer better growth prospects compared to the existing ones. Because the firm is expanding into a new market, a market development strategy typically has more risk than a market penetration strategy. This is because managers do not normally possess sound knowledge of new markets, which may result in inaccurate market assessment and wrong marketing decisions.

In market development approach, a firm seeks to increase its sales by taking its product into new markets. The two possible methods of implementing market development strategy are: (a) the firm can move its present product into new geographical areas. This is done by increasing its sales force, appointing new channel partners, sales agents or manufacturing representatives and by franchising its operation; or (b) the firm can expand sales by attracting new market segments. Making minor modifications in the existing products that appeal to new segments can do the trick.

Product Development Strategy

Expansion through product development involves development of new or improved products for its current markets. The firm remains in its present markets but develops new products for these markets. Growth will accrue if the new products yield additional sales and market share. This strategy is likely to succeed for products that have low brand loyalty and/or short product life cycles. A Product development strategy may also be appropriate if the firm's strengths are related to its specific customers rather than to the specific product itself. In this situation, it can leverage its strengths by developing a new product targeted to its existing customers. Although the firm operates in familiar markets, product development strategy carries more risk than simply attempting to increase market share since there are inherent risks normally associated with new product development.

The three possible ways of implementing the product development strategy are:

- The company can expand sales through developing new products.
- The company can create different or improved versions of the current products.
- The company can make necessary changes in its existing products to suit the different likes and dislikes of the customers.

Combination Strategy

Combination strategy combines the intensification strategy variants i.e., market penetration, market development and product development to grow. In the market development and market penetration strategy, the firm continues with its current product portfolio, while the product development strategy involves developing new or improved products, which will satisfy the current markets.

Activity 3

Search for information about a company of your choice and explain which of the above intensification strategies it is currently following. Why is the company following these strategies? Discuss.

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3.6 EXPANSION THROUGH INTEGRATION

In contrast to the intensive growth, integration strategy involves expanding externally by combining with other firms. Combination involves association and integration among different firms and is essentially driven by need for survival and also for growth by building synergies. Combination of firms may take the merger or consolidation route. Merger implies a combination of two or more concerns into one final entity. The merged concerns go out of existence and their assets and liabilities are taken over by the acquiring company. A consolidation is a combination of two or more business units to form an entirely new company. All the original business entities cease to exist after the combination. Since mergers and consolidations involve the combination of two or more companies into a single company, the term merger is commonly used to refer to both forms of external growth. As is the case in all the strategies, acquisition is a choice a firm has made regarding how it intends to compete (Markides, 1999). Firms use integration to 1) increase market share, 2) avoid the costs of developing new products internally and bringing them to the market, 3) reduce the risk of entering new business, 4) speed up the process of entering the market, 5) become more diversified and 6) quite possibly to reduce the intensity of competition by taking over the competitor's business. The costs of integration include reduced flexibility as the organization is locked into specific products and technology, financial costs of acquiring another company and difficulties in integrating various operations. There are many forms of integration, but the two major ones are vertical and horizontal integration.

i) Vertical Integration: Vertical integration refers to the integration of firms involved in different stages of the supply chain. Thus, a vertically integrated firm has units operating in different stages of supply chain starting from raw material to delivery of final product to the end customer. An organization tries to gain control of its inputs (called backward integration) or its outputs (called forward integration) or both. Vertical integration may take the form of backward or forward integration or both. The concept of vertical integration can be visualized using the value chain. Consider a firm whose products are made via an assembly process. Such a firm may consider backward integrating into intermediate manufacturing or forward integrating into distribution. Backward integration sometimes is referred to as upstream integration and forward integration as downstream integration. For instance, Nirma undertook backward integration by setting up plant to manufacture soda ash and linear alkali benzene, both important inputs for detergents and washing soaps, to strengthen its hold in the lower-end detergents market. Forward integration refers to moving closer to the ultimate customer by increasing control over distribution activities. For example, a personal computer assembler could own a chain of retail stores from which it sells its machines (forward integration).

Some companies expand vertically backward and forward. Reliance Petrochemicals grew by leveraging backward and forward integration: it began with manufacturing of textiles and fibres, moved to polymers and other intermediates then went into the manufacture of fibres, then to petrochemicals and oil refining. In power, Reliance Energy wants to do the same thing and the catchphrase that for this vertical integration is 'from well-head to wall-socket'. Reliance Energy's strategy is to straddle the entire value chain in the power business. It plans to generate power by using the group's production of gas, transmit and distribute it to the domestic and industrial consumers, reaping the returns of not just generating power using its own gas but selling what it generates not as a bulk supplier but to the end user.

In essence, a firm seeks to grow through vertical integration by taking control of the business operations at various stages of the supply chain to gain advantage over its rivals. The record of vertical integration is mixed and hence, decisions should be taken after a comprehensive and careful consideration of all aspects of this form of integration. In most cases the initial investments may be very high and exiting an arrangement that does not prove beneficial may be hard. Vertical integration also requires an organization to develop additional product market and technology capabilities, which it may not currently possess.

Factors conducive for vertical integration include: a) taxes and regulations on market transactions, b) obstacles to the formulation and monitoring of contracts, c) similarity between the vertically-related activities, d) sufficient large production quantities so that the firm can benefit from economies of scale and e) reluctance of other firms to make investments specific to the transaction. Vertical integration may not yield the desired benefit if, a) the quantity required from a supplier is much less than the minimum efficient scale for producing the product. b) the product is widely available commodity and its production cost decreases significantly as cumulative quantity increases, c) the core competencies between the activities are very different, d) the vertically adjacent activities are in very different types of industries (For example, manufacturing is very different from retailing.) and e) the addition of the new activity places the firm in competition with another player with which it needs to cooperate. The firm then may be viewed as a competitor rather than a partner.

Firms integrate vertically to: a) reduce transportation costs if common ownership results in closer geographic proximity, b) improve supply chain coordination, c) capture upstream or downstream profit margins, d) increase entry barriers to potential competitors, for example, if the firm can gain sole access to scarce resource, e) gain access to downstream distribution channels that otherwise would be inaccessible, f) facilitate investment in highly specialized assets in which upstream or downstream players may be reluctant to invest and g) facilitate investment in highly specialized assets in which upstream or downstream players may be reluctant to invest.

The downside risks of an integration strategy to a company include: a) difficulty of effectively integrating the firms involved, b) incorrect evaluation of target firm's value, c) overestimating the potential for synergy between the companies involved, d) creating a combination too large to control, e) the huge financial burden that acquisition entails, f) capacity balancing issues. (For instance, the firm may need to build excess upstream capacity to ensure that its downstream operations have sufficient supply under all demand conditions), g) potentially higher costs due to low efficiencies resulting from lack of supplier competition, h) decreased flexibility due to previous upstream or downstream investments, (however, that flexibility to coordinate vertically -related activities may increase.), i) decreased ability of increase product variety if significant in-house development is required, and j) developing new core competencies may compromise existing competencies.

There are alternatives to vertical integration that may provide some of the same benefits with fewer drawbacks. The following are a few of these alternatives for relationships between vertically related organizations.

- Long-term explicit contracts
- Franchise agreements
- Joint ventures
- Co-location of facilities
- Implicit contracts (relying on firm's reputation)

ii) **Horizontal Combination / Integration:** The acquisition of additional business in the same line of business or at the same level of the value chain (combining with competitors) is referred to as horizontal integration. Horizontal growth can be achieved by internal expansion or by external expansion through mergers and acquisitions of firms offering similar products and services. A firm may diversify by growing horizontally into unrelated business. Integration of oil companies, Exxon and Mobil, is an example of horizontal integration. Aditya Birla Group's acquisition of L&T Cements from Reliance to increase its market dominance is an example of horizontal integration. This sort of integration is sought to reduce intensity of competition and also to build synergies.

Benefits of Horizontal Integration

The following are some benefits of horizontal integration:

- Economies of scale-achieved by selling more of the same product, for example, by geographic expansion.
- Economies of scope - achieved by sharing resources common to different products. Commonly referred to as 'synergies'.
- Increased bargaining power over suppliers and downstream channel members.
- Reduction in the cost of global operations made possible by operating plants in foreign markets.
- Synergy achieved by using the same brand name to promote multiple products.

Hazards of Horizontal Integration

Horizontal integration by acquisition of a competitor will increase a firm's market share. However, if the industry concentration increases significantly then anti-trust issues may arise. Aside from legal issues, another concern is whether the anticipated economic gains will materialize. Before expanding the scope of the firm through horizontal integration, management should be sure that the imagined benefits are real. Many blunders have been made by firms that broadened their horizontal scope to achieve synergies that did not exist, for example, computer hardware manufacturers who entered the software business on the premise that there were synergies between hardware and software. However, a connection between two products does not necessarily imply realizable economies of scope. Finally, even when the potential benefits of horizontal integration exist, they do not materialize spontaneously. There must be an explicit horizontal strategy in place. Such strategies generally do not arise from the bottom-up, but rather, must be formulated by corporate management.

3.7 INTERNATIONAL EXPANSION

An organization can "go international" by crossing domestic borders as it employs any of the strategies discussed above. International expansion involves establishing significant market interests and operations outside a company's home country. Foreign markets provide additional sales opportunities for a firm that may be constrained by the relatively small size of its domestic market and also reduces the firm's dependence on a single national market. Firms expand globally to seek opportunity to earn a return on large investments such as plant and capital equipment or research and development, or enhance market share and achieve scale economies, and also to enjoy advantages of locations. Other motives for international expansion include extending the product life cycle, securing key resources and using low-cost labour. However, to mould their firms into truly global companies, managers must develop global mind-sets. Traditional means of operating with little cultural diversity and without global competition are no longer effective firms (Kedia and Mukherji, 1999).

International expansion is fraught with various risks such as, political risks (e.g. instability of host nations) and economic risks (e.g. fluctuations in the value of the country's currency). International expansion increases coordination and distribution costs, and managing a global enterprise entails problems of overcoming trade barriers, logistics costs, cultural diversity, etc.

There are several methods for going international. Each method of entering an overseas market has its own advantages and disadvantages that must be carefully assessed. Different international entry modes involve a tradeoff between level of risk and the amount of foreign control the organization's managers are willing to allow. It is common for a firm to begin with exporting, progress to licensing, then to franchising finally leading to direct investment. As the firm achieves success at each stage, it moves to the next. If it experiences problems at any of these stages, it may not progress further. If adverse conditions prevail or if operations do not yield the desired returns in a reasonable time period, the firm may withdraw from the foreign market. The decision to enter a foreign market can have a significant impact on a firm. Expansion into foreign markets can be achieved through:

- Exporting
- Licensing
- Joint Venture
- Direct Investment

Exporting: Exporting is marketing of domestically produced goods in a foreign country and is a traditional and well-established method of entering foreign markets. It does not entail new investment since exporting does not require separate production facilities in the target country. Most of the costs incurred for exporting products are marketing expenses.

Licensing: Licensing permits a company in the target country to use the property of the licensor. Such property usually is intangible, such as trademarks, patents, and production techniques. The licensee pays a fee in exchange for the rights to use the intangible property and possible for technical assistance. Licensing has the potential to provide a very large RoI since this mode of foreign entry also does require additional investments. However, since the licensee produces and markets the product, potential returns from manufacturing and marketing activities may be lost.

Joint Venture: There are five common objectives in a joint venture: market entry, risk/reward sharing, technology sharing and joint product development, and conforming to government regulations. Other benefits include political connections and distribution channel access that may depend on relationships.

Joint ventures are favoured when:

- The partners' strategic goals converge while their competitive goals diverge;
- The partners' size, market power, and resources are small compared to the industry leaders; and
- Partners' are able to learn from one another while limiting access to their own proprietary skills.

The critical issues to consider in a joint venture are ownership, control, length of agreement, pricing, technology transfer, local firm capabilities and resources, and government intentions. Potential problems include, conflict over asymmetric investments, mistrust over proprietary knowledge, performance ambiguity - how to share the profits and losses, lack of parent firm support, cultural conflicts, and finally, when and how to terminate the relationship.

Joint ventures have conflicting pressures to cooperate and compete:

- Strategic imperative; the partners want to maximize the advantage gained from the joint venture, but they also want to maximize their own competitive position.
- The joint venture attempts to develop shared resources, but each firm wants to develop and protect its own proprietary resources.
- The joint venture is controlled through negotiations and coordination processes while each firm would like to have hierarchical control.

Direct Investment: Direct investment is the ownership of facilities in the target country. It involves the transfer of resources including capital, technology, and personnel. Direct investment may be made through the acquisition of an existing entity or the establishment of a new enterprise. Direct ownership provides a high degree of control in the operations and the ability to better know the consumers and competitive environment. However, it requires a high degree of commitment and substantial resources. Exhibit 3.2 compares different International Market Entry Modes.

Exhibit 3.2: Comparison of International Market Entry Modes

Mode	Conditions Favoring this Mode	Advantages	Disadvantages
Exporting	• Limited sales potential in target country; little product adaptation required • High target country; production costs • Liberal import policies • High political risk	• Minimizes risk and investment • Speed of entry • Maximizes scale; uses existing facilities	• Trade barriers & tariffs add to costs • Transport costs • Limits access to local market information • Company viewed as an outsider
Licensing	• Import and investment barriers • Legal protection possible in target environment • Low sales potential in target country • Large cultural distance • Licensee lacks ability to become a competitor	• Minimizes risk and investment • Speed of entry • Able to circumvent trade barriers • High RoI	• Lack of control over use of assets • Licensee may become competitor • Knowledge leakages • License period is limited
Joint Ventures	• Import barriers • Large cultural distance • Assets cannot be fairly priced • High sales potential • Some political risk • Government restrictions on foreign ownership • Local company can provide skills, resources, distribution network, brand name, etc.	• Overcomes ownership restrictions and cultural distance • Combines resources of two companies • Potential for learning • Viewed as insider • Less investment required	• Difficult to manage • Dilution of control • Greater risk than exporting & licensing • Knowledge spillovers • Partner may become a competitor

Direct Investment	• Import barriers • Small cultural distance • Assets cannot be fairly priced • High sales potential • Low political risk	• Greater knowledge of local market • Can better apply specialised skills • Minimise knowledge spillover • Can be viewed as an insider	• Higher risk than other modes • Requires more resources and commitment • May be difficult to manage the local resources.

There are three major strategy options for going international:

Multi-domestic: The organization decentralizes operational decisions and activities to each country in which it is operating and customizes its products and services to each market. For years, U.S. auto manufacturers maintained decentralized overseas units that produced cars adapted to different countries and regions. General Motors produced Opel in Germany and Vauxhall in Great Britain while Chrysler produced the Simca in France and Ford offered a Canadian Ford.

Global: The organization offers standardized products and uses integrated operations. Example: Ford is treating its Contour as a car for all world markets—one that can be produced and sold in any industrialized nation.

Transnational: The organization seeks the best of both the multi-domestic and global strategies by globally integrating operations while tailoring products and services to the local market. In other words a company 'thinks globally but acts locally'. Many authors refer to this concept as 'Glocalization'. Global electronic communications and connectivity can help integrate operations while flexible manufacturing enables firms to produce multiple versions of products from the same assembly line, tailoring them to different markets. This gives more choice in locating facilities to take advantage of cheaper labor or to get the best of other factors of production.

Managing Global Supply Chains to Enhance Competitiveness

Logistics capabilities (the movement of supplies and goods) make or mar global operations. Global operations involve highly coordinated international flow of goods, information, cash, and work processes. Setting up a global supply chain to support producing and selling products in many countries at the right cost and service levels is a very difficult task. However the benefits of managing this difficult task has many benefits, which include rationalization of global operations by setting up right number of factories and distribution centers and integration of far-flung operations under a unified command to better manage inventory and order filling activities. Optimizing global supply chain operations can cut the delivery times and costs drastically and improve global competitiveness. Smart supply chain planning may result in locating facilities where they make the most logistical sense, while saving on taxes. This is better than simply locating where labor is cheapest, but where taxes and other cost may not be most favourable.

3.8 SUMMARY

Strategy refers to how a given objective will be achieved. Therefore, strategy is concerned with the relationships between ends and means, that is, between the results we seek and the resources at our disposal. There are three levels of strategy, namely, corporate strategies, competitive strategies and functional strategies. Corporate strategies are concerned with the broad, long-term questions of "what businesses are we in, and what do we want to do with these businesses?" It sets the overall direction the organization will follow. On the other hand, competitive strategies determine how the firm will compete in a specific business or industry. This involves deciding how the company will compete within each line of business. Functional strategies, also referred to as operational strategies, are the short-term (less than one year), goal-directed decisions and actions of the organization's various functional departments.

There are various approaches to developing stability strategy. They are: holding strategy, stable growth strategy, harvesting strategy, profit or endgame strategy. Growth of business enterprises implies realignment of its business operations to different product-market environments. This is achieved through the basic growth approaches of intensive expansion, integration (horizontal and vertical integration), diversification and international operations. All these aspects have been covered in this unit.

3.9 KEY WORDS

Corporate Strategy: Corporate strategy is essentially a blueprint for the growth of the firm.

Competitive Strategies: Strategies that determine how the firm will compete in a specific business or industry.

Combination Strategy: Combination strategy may include combination of two alternatives i.e., market penetration and market development or combination of all the three alternatives.

Diversification: The firm grows by diversifying into new businesses by developing new products for new markets.

Expansion Strategies: Growth or expansion strategy is the most important strategic option, which firms pursue to gain significant growth as opposed to incremental growth envisaged in stable strategy.

Functional Strategies: Also called operational strategies, these are the short-term, goal-directed decisions and actions of the organization's various functional departments.

Generic Corporate Strategies: The four variants of corporate strategy, namely, stability strategy, growth/expansion strategy, retrenchment/ divestment strategy and combination strategy are called generic corporate strategies or grand strategies.

Harvesting Strategy: The firm has a dominant market share which it wants to leverage to generate cash for future business expansion.

Integration Strategy: The combination or association with other companies to expand externally is termed as integration strategy.

Intensification Strategy: Intensive expansion strategy involves safeguarding its present position and expanding in the firm's current product-market space to achieve growth targets.

International Expansion: Global expansion involves establishing significant market interests and operations outside a company's home country.

Product Development: The firm develops new products targeted to its existing market segments.

Stability Strategy: Strategy, which aims to retain present strategy of the firm at the corporate level by focusing on its present products and markets.

3.10 SELF-ASSESSMENT QUESTIONS

1) What is corporate level strategy? Why is it important for a diversified firm?
2) What are the various reasons that firms choose to move from either a single-or a dominant-business position to a more diversified position?
3) What do you mean by stability strategy? Does this strategy mean that a firm stands still? Explain.
4) Under what circumstances do firms pursue stability strategy? What are the different approaches to stability strategy?
5) What resources and incentives encourage a firm to pursue expansion strategies? What are the main problems that affect a firm's efforts to use an expansion strategy?
6) Given the advantages of international expansion, why do some firms choose not to expand internationally?
7) What is the example of a political risk in expanding operations into Africa or Middle East?

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UNIT 4 INTEGRATION AND DIVERSIFICATION GROWTH STRATEGIES

Objectives

After reading this unit, you should be able to:

- acquaint yourself with the various diversification strategies;
- explain the reasons for pursuing diversification strategies;
- explain the various routes to diversification;
- state the mechanics of M&A and the basic steps involved in M&A;
- explain the rationale behind M&A;
- identify the attributes of successful and effective acquisitions; and
- present a brief overview of the M&A scenario in India.

Structure

4.1 DIVERSIFICATION

Diversification involves moving into new lines of business. When an industry consolidates and becomes mature, most of the firms in that industry would have reached the limits of growth using vertical and horizontal growth strategies. If they want to continue growing any further the only option available to them is diversification by expanding their operations into a different industry. Diversification strategies also apply to the more general case of spreading market risks, adding products to the existing lines of business can be viewed as analogous to an investor who invests in multiple stocks to "spread the risks". Diversification into other lines of business can especially make sense when the firm faces uncertain conditions in its core product-market domain.

While intensification limits the growth of the firm to the existing businesses of the firm, diversification takes it beyond the confines of the current product-market domain to uncharted and unfamiliar products-market territory. In other words, this strategy steers the organization away from both its present products and its present market simultaneously. Of the various routes to expansion, diversification is definitely the most complex and risky route. Diversification approach to expansion is complex since it seeks to enter new product lines, processes, services or markets which involve different skills, processes and knowledge from those required for the current business. It is risky since it involves deviating from familiar territory: familiar products and familiar markets.

Diversification of a firm can take the form of concentric and conglomerate diversification. Concentric (related) diversification is appropriate when a firm has a strong competitive position but industry attractiveness is low. Conglomerate (unrelated) diversification is an appropriate strategy when current industry is unattractive and that the firm lacks exceptional and outstanding capabilities or skills in related products or services. Generally, related diversification strategies have been demonstrated to achieve higher value creation (profitability and stock value) than unrelated diversification strategies. The interpretation of this finding is that there must be some advantage achieved through shared resources, experience, competencies, technologies, or other value-creating factors. This is the so called synergy effect of diversification i.e., 'the whole is greater than the sum of its parts'. While it is difficult to predict what is a "synergistic" match of a business to an existing corporate portfolio, the test must be that the business creates new value when it is added to a corporation's line of existing businesses.

4.2 RELATED DIVERSIFICATION (CONCENTRIC DIVERSIFICATION)

In this alternative, a company expands into a related industry, one having synergy with the company's existing lines of business, creating a situation in which the existing and new lines of business share and gain special advantages from commonalities such as technology, customers, distribution, location, product or manufacturing similarities, and government access. In essence, in concentric diversification, the new industry is related in some way to the current one. This is often an appropriate corporate strategy when a company has a strong competitive position and distinctive competencies, but its existing industry is not very attractive. Thus, a firm is said to have pursued concentric diversification strategy when it enters into new product or service area belonging to different industry category but the new product or service is similar to the existing one with respect to technology or production or marketing channels or customers. Such diversification may be possible in two ways: internal development through product and market expansion utilizing the existing resources and capabilities or through external acquisitions operating in the same market space. Addition of lease financing activity in India is a case of market-related concentric diversification. Another type of concentric diversification is technology related in which the firm employs similar technology to manufacture new products.

Addition of tomato ketchup and sauce to the existing 'Maggi' brand processed items of Food Specialties Ltd. is an instance of technology-related concentric diversification.

4.3 UNRELATED DIVERSIFICATION (CONGLOMERATE DIVERSIFICATION)

Conglomerate diversification is a growth strategy in which a company seeks to grow by adding entirely unrelated products and markets to its existing business. A company that consists of a grouping of businesses from unrelated streams is called a conglomerate. In conglomerate diversification, a firm generally introduces new products using different technologies in new markets. A conglomerate consists of a number of product divisions, which sell different products, principally to their own markets rather than to each other. Conglomerates diversify their business risk through profit gained from profit centers in various lines of business. However, some may become so diversified and complicated that they are too difficult to manage efficiently. However, since their huge popularity in the 1960s to 80s, many conglomerates have reduced their business lines by restricting to a choice of few. The reasons for considering this alternative are primarily to seek more attractive opportunities for growth, spread the risk across different industries, and/ or to exit an existing line of business. Further, this may be an appropriate strategy when, not only the present industry is unattractive, but the company also lacks outstanding competencies that it could transfer to related products or industries. However, since it is difficult to manage and excel in unrelated business units, it is often difficult to realize the expected and anticipated results.

In India, a large number of companies diversified their operations following economic liberalization. Gujarat Narmada Valley Fertilizers Ltd. has diversified from fertilizers to personal transport, chemicals and electronic industries, while Arvind group, hitherto confined to textiles, diversified into unrelated activities such as manufacturing of agro-products, floriculture and export of fresh fruits. Likewise, BPL has decided to venture into sectors like power generators, cement, steel and agricultural inputs in a big way. Wipro is another company with wide ranging business interests encompassing vegetable oils, computer hardware, and software, medical equipment, hydraulic systems, consumer products, lighting, export of leather shoe nippers and has recently entered into financial services.

4.4 RATIONALE FOR DIVERSIFICATION

Under strict assumptions of an efficient market theory, there is no convincing rationale for one company to acquire another, especially less efficient or unrelated businesses. Since the markets are imperfect and do not follow the norms of efficient market theory, companies do diversify for several reasons given below:

Economies of Scale and Scope (Synergy): The merger of two companies producing similar products should allow the combined firms to pool resources and attain lower operating costs. By making optimal use of existing marketing, investment, operating and managerial facilities of the two combining firms and eliminating redundant and overlapping activities, the combined entity can lower the operating costs and increase operational efficiency. The saving may come from reduced overheads or the ability to spread a larger amount of production over lower (consolidated) fixed costs. There may also be differential management capabilities: an efficiently managed firm may acquire a less efficient firm with the intent of bringing better management to the business. Efficiencies can also be gained through pooled financial resources or simply through pooled risk.

Widen Market Base and Enhance Market Power: Large number of collaborations and acquisitions are aimed at expanding the market for the firm's products. For instance, HCL and Hewlett Packard Ltd., Tata-IBM, Ranbaxy Laboratories and Eli Lilly Company, Hindustan Motors and General Motors and Tata Tea and Tetley of USA, entered into tie-up arrangements mainly to exploit the market opportunities. Mergers and acquisitions can increase a firm's market share when both firms are in the same business. But, market share does not necessarily translate to higher profits or greater value for owners unless the merger substantially reduces the inter-firm rivalry in the industry.

Profit Stability: Acquisition of new business can reduce variations in corporate profits by expanding the company's lines of business. This typically occurs when the core business depends on sales that are seasonal or cyclical. A large number of organizations pursue diversification strategy just to avoid instability in sales and profits which can result from events such as cyclical and seasonal shifts in demand, changes in the life cycles and other destabilizing forces in the micro and macro environment.

Improve Financial Performance: Large firms generate cash that can be invested in other ventures. The firm acts as a banker of an internal capital market. The core business sustains itself on its moneymaking ventures, and uses this cash flow to create new ventures that generate additional profits. A firm may also be tempted to exploit diversification opportunities because it has liquid resources far in excess of the total expansion needs. Sometimes a company may seek a merger with another organization with the intention of tiding over its financial problems.

Growth: Diversification is basically a way to grow. Indeed, managers often cite growth as the principle reason for diversification. The most important factor that motivates management to diversify is to achieve higher growth rate than which is possible with intensification strategy. If the management feels that the existing products and markets do not have the potential to deliver expected growth, the only alternative they have is to diversify into new territories. Unlike organic growth, which is slow, an acquisition or merger (inorganic) can deliver the results rather quickly since resources, skills, other factors essential for faster growth are immediately available.

Counter Competitive Threats: Organizations are driven at times towards external diversification through merger by competitive pressures. Such a strategic move is expected to counter the competitive threats by reducing the intensity of competition.

Access to Latest Technology: Many Indian firms enter into strategic alliances with foreign firms to gain access to the latest technologies without spending huge amount of money on R&D. For instance, Johnson and Nicholson India Ltd., a leading domestic paint manufacturer, has strengthened its position in the Indian market and also diversified into industrial electronics along with its German partner, Carl Schevek AG of Germany.

Regulatory Factors: A large number of organizations have diversified their operations geographically to exploit opportunities in different regions and countries and also to take advantage of the incentives being offered by the various governments to attract investment. Many companies enter other countries to avoid restrictions placed by the regulators in their host country.

Activity 1

Compare and contrast the strategies of Bajaj group and TVS group. Are they following concentric or conglomerate diversification?

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4.5 ALTERNATIVE ROUTES TO DIVERSIFICATION

Once a firm opts for diversification, it must select one of the options discussed below. There are three broad ways to implement diversification strategies:

Mergers and Acquisitions

A merger is a legal transaction in which two or more organizations combine operations through an exchange of stock. In a merger only one organization entity will eventually remain. An acquisition is a purchase of one organization by another. There were quite a few acquisitions in which the target firms resisted the take-over bids. These acquisitions are referred to as hostile takeovers. It is natural for the target organization's management to try to defend against the takeover. Although they are used synonymously, there is a slight distinction between the terms 'merger' and 'acquisition'. This will be discussed more in detail in the later sections.

Strategic Partnering

Strategic partnering occurs when two or more organizations establish a relationship that combines their resources, capabilities, and core competencies to achieve some business objective. The three major types of strategic partnerships: joint ventures, long-term contracts, and strategic alliances are discussed below:

Joint Ventures

In a joint venture, two or more organizations form a separate, independent organization for strategic purposes. Such partnerships are usually focused on accomplishing a specific market objective. They may last from a few months to a few years and often involve a cross-border relationship. One firm may purchase a percentage of the stock in the other partner, but not a controlling share. The joint ventures between various Indian and foreign companies such as Hindustan Motors and General Motors, Hero Cycles with Honda Motor Company, Wipro and General Electric, etc. are examples of such strategic partnering.

Long-Term Contracts

In this arrangement, two or more organizations enter a legal contract for a specific business purpose. Long-term contracts are common between a buyer and a supplier. Many strategists consider them more flexible and less inhibiting than vertical integration. It is usually easier to end an unsatisfactory long-term contract than to end a joint venture. A good example is the change in supplier relationships that Chrysler's management undertook after 1989, when it launched the LH project to create a new generation of cars. Supplier relationships are critical at Chrysler since outsourced components constitute about 70 percent of Chrysler's cars, compared to about 50 percent for GM and Ford. Japanese automakers also enter into such arrangements with their vendors frequently.

Strategic Alliances

In a strategic alliance, two or more organizations share resources, capabilities, or distinctive competencies to pursue some business purpose. Strategic alliances often transcend the narrower focus and shorter duration of joint ventures. These alliances may be aimed at world market dominance within a product category. While the partners cooperate within the boundaries of the alliance relationship, they often compete fiercely in other parts of their businesses.

4.6 MERGERS AND ACQUISTIONS (M&A)

Mergers and acquisitions and corporate restructuring – or M&A for short- are a big part of the corporate finance. One plus one makes three: this equation is the special alchemy of a merger or acquisition. The key principle behind buying a company is to create shareholder value over and above that of the sum of the two companies. Two companies together are more valuable than two separate companies - at least, that's the reasoning behind M&A. This idea is particularly attractive to companies when times are tough. Strong companies will act to buy other companies to create a more competitive, cost-efficient company. The companies will come together hoping to gain a greater market share or achieve greater efficiency. Because of these potential benefits, target companies will often agree to be purchased when they know they cannot survive alone.

A corporate merger is essentially a combination of the assets and liabilities of two firms to form a single business entity. Although they are used synonymously, there is a slight distinction between the terms 'merger' and 'acquisition'. Strictly speaking, only a corporate combination in which one of the companies survives as a legal entity is called a merger. In a merger of firms that are approximate equals, there is often an exchange of stock in which one firm issues new shares to the shareholders of the other firm at a certain ratio. In other words, a merger happens when two firms, often about the same size, agree to unite as a new single company rather than remain as separate units. This kind of action is more precisely referred to as a "merger of equals." Both companies' stocks are surrendered, and new company stock is issued in its place. When a company takes over another to become the new owner of the target company, the purchase is called an acquisition. From the legal angle, the 'target company' ceases to exist and the buyer "gulps down" the business and stock of the buyer continues to be traded.

In summary, "acquisition" is generally used when a larger firm absorbs a smaller firm and "merger" is used when the combination is portrayed to be between equals. For the sake of discussion, the firm whose shares continue to exist (possibly under a different company name) will be referred to as the acquiring firm and the firm's whose shares are being replaced by the acquiring firm will be referred to as the target firm. However, a merger of equals doesn't happen very often in practice. Frequently, a company buying another allows the acquired firm to proclaim that it is a merger of equals, even though it is technically an acquisition. This is done to overcome some legal restrictions on acquisitions.

Synergy is the main reason cited for many M&As. Synergy takes the form of revenue enhancement and cost savings. By merging, the companies hope to benefit through staff reductions, economies of scale, acquisition of technology, improved market reach and industry visibility. Having said that, achieving synergy is easier said than done-synergy is not routinely realized once two companies merge. Obviously, when two businesses are combined, it should result in improved economies of scale, but sometimes it works in reverse. In many cases, one and one add up to less than two.

Excluding any synergies resulting from the merger, the total post-merger value of the two firms is equal to the pre-merger value, if the 'synergistic values' of the merger activity are not measured. However, the post-merger value of each individual firm is likely to be different from the pre-merger value because the exchange ratio of the shares will not exactly reflect the firms' values compared to each other. The exchange ratio is distorted because the target firm's shareholders are paid a premium for their shares. Synergy takes the form of revenue enhancement and cost savings. When two companies in the same industry merge, the revenue will decline to the extent that the businesses overlap. Hence, for the merger to make sense for the acquiring firm's shareholders, the synergies resulting from the merger must be more than the value lost initially.

Different forms of Mergers

There are a whole host of different mergers depending on the relationship between the two companies that are merging. These are:

- **Horizontal Merger**: Merger of two companies that are in direct competition in the same product categories and markets.
- **Vertical Merger**: Merger of two companies which are in different stages of the supply chain. This is also referred to as vertical integration. A company taking over its supplier's firm or a company taking control of its distribution by acquiring the business of its distributors or channel partners is examples of this type of merger.

- **Market-extension Merger**: Merger of two companies that sell the same products in different markets.
- **Product-extension Merger**: Merger of two companies selling different but related products in the same market.
- **Conglomeration**: Merger of two companies that have no common business areas.

From the finance standpoint, there are three types of mergers: pooling of interests, purchase mergers and consolidation mergers. Each has certain implications for the companies and investors involved:

Pooling of Interests: Pooling of interests is generally accomplished by a common stock swap at a specified ratio. This is sometimes called a tax-free merger. Such mergers are only allowed if they meet certain legal requirements. A pooling of interests is generally accomplished by a common stock swap at a specified ratio. Pooling of interests is less common than purchase mergers.

Purchase Mergers: As the name suggests, this kind of merger occurs when one company purchases another one. The purchase is made by cash or through the issue of some kind of debt investment, and the sale is taxable. Acquiring companies often prefer this type of merger because it can provide them with a tax benefit. Acquired assets can be "written up" to the actual purchase price, and the difference between book value and purchase price of the assets can depreciate annually, reducing taxes payable by the acquiring company. Purchase acquisitions involve one company purchasing the common stock or assets of another company. In a purchase acquisition, one company decides to acquire another, and offers to purchase the acquisition target's stock at a given price in cash, securities or both. This offer is called a tender offer because the acquiring company offers to pay a certain price if the target's shareholders will surrender or tender their shares of stock. Typically, this tender offer is higher than the stock's current price to encourage the shareholders to tender the stock. The difference between the share price and the tender price is called the acquisition premium. These premiums can sometimes be quite high.

Consolidation Mergers: In a consolidation, the existing companies are dissolved, a new company is formed to combine the assets of the combining companies and the stock of the consolidated company is issued to the shareholders of both companies. The tax terms are the same as those of a purchase merger. The Exxon merger with Mobil Oil Company is technically a consolidation.

Acquisitions

As stated earlier, an acquisition is only slightly different from a merger. Like mergers, acquisitions are actions through which companies seek economies of scale, efficiencies, and enhanced market visibility. Unlike all mergers, all acquisitions involve one firm purchasing another - there is no exchanging of stock or consolidating as a new company. In an acquisition, a company can buy another company with cash, stock, or a combination of the two. In smaller deals, it is common for one company to acquire all the assets of another company. Another type of acquisition is a reverse merger, a deal that enables a private company to get publicly listed in a relatively short time period. A reverse merger occurs when a private company that has strong prospects and is eager to raise finance buys a publicly listed shell company, usually one with no business and limited assets. The private company reverse merges into the public company and together they become an entirely new public corporation with tradable shares. Regardless of the type of combination, all mergers and acquisitions have one thing in common: they are all meant to create synergy and the success of a merger or acquisition hinges on how well this synergy is achieved.

Activity 2

Scan The Economic Times, Business Line, Business Standard or any other business daily for news on mergers. Classify the mergers you have come across during your search into various types discussed.

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4.7 MERGER AND ACQUISITION STRATEGY

There are a number of reasons that mergers and acquisitions take place. These issues generally relate to business concerns such as competition, efficiency, marketing, product, resources and tax issues. They can also occur because of some very personal reasons such as retirement and family concerns. Some people are of the opinion that mergers and acquisitions also occur because of corporate greed to acquire everything. Various reasons for M&A include:

Reduce Competition: One major reason for companies to combine is to eliminate competition. Acquiring a competitor is an excellent way to improve a firm's position in the marketplace. It reduces competition and allows the acquiring firm to use the target firm's resources and expertise. However, combining for this purpose is as such not legal and under the Antitrust Acts it is considered a predatory practice. Therefore, whenever a merger is proposed, firms make an effort to explain that the merger is not anti-competitive and is being done solely to better serve the consumer. Even if the merger is not for the stated purpose of eliminating competition, regulatory agencies may conclude that a merger is anti-competitive. However, there are a number of acceptable reasons for combining firms.

Cost Efficiency: Due to technology and market conditions, firms may benefit from economies of scale. The general assumption is that larger firms are more cost-effective than are smaller firms. It is, however, not always cost effective to grow. Inspite of the stated reason that merging will improve cost efficiency, larger companies are not necessarily more efficient than smaller companies. Further, some large firms exhibit diseconomies of scale, which means that the average cost per unit increases, as total assets grow too large. Some industry analysts even suggest that the top management goes in for mergers to increase its own prestige. Certainly, managing a big company is more prestigious than managing a small company.

Avoid Being a Takeover Target: This is another reason that companies merge. If a firm has a large quantity of liquid assets, it becomes an attractive takeover target because the acquiring firm can use the liquid assets to expand the business, pay off shareholders, etc. If the targeted firm invests existing funds in a takeover, it has the effect of discouraging other firms from targeting it because it is now larger in size, and will, therefore, require a larger tender offer. Thus, the company has found a use for its excess liquid assets, and made itself more difficult to acquire. Often firms will state that acquiring a company is the best investment the company can find for its excess cash. This is the reason given for many conglomerate mergers.

Improve Earnings and Reduce Sales Variability: Improving earnings and sales stability can reduce corporate risk. If a firm has earnings or sales instability, merging with another company may reduce or eliminate this provided the latter company is more stable. If companies are approximately the same size and have approximately the same revenues, then by merging, they can eliminate the seasonal instability. This is, however, not a very inefficient way of eliminating instability in strict economic terms.

Market and Product Line Issues: Often mergers occur simply because one firm is in a market that the other company wants to enter. All of the target firm's experience and resources are readily available for immediate use. This is a very common reason for acquisitions. Whatever may be the explanation offered for acquisition, the dominant reason for a merger is always quick market entry or expansion. Product line issues also exert powerful influence in merger decisions. A firm may wish to expand, balance, fill out or diversify its product lines. For example, acquisition of Modern Foods by Hindustan Lever Limited is primarily related product line.

Acquire Resources: Firms wish to purchase the resources of other firms or to combine the resources of the two firms. These may be tangible resources such as plant and equipment, or they may be intangible resources such as trade secrets, patents, copyrights, leases, management and technical skills of target company's employees, etc. This only proves that the reasons for mergers and acquisitions are quite similar to the reasons for buying an asset/ to purchase an asset for its utility.

Synergy: Synergy popularly stated, as "two plus two equals five," is similar to the concept of economies of scope. Economies of scope would occur if two companies combine and the combined company was more cost efficient at both activities because each requires the same resources and competencies. Although synergy is often cited as the reason for conglomerate mergers, cost efficiencies due to synergy are difficult to document.

Tax Savings: Although tax savings is not a primary motive for a combination, it can certainly "sweeten" the deal. When a purchase of either the assets or common stock of a company takes place, the tender offer less the stock's purchase price represents a gain to the target company's shareholders. Consequently, the target firm's shareholders will usually gain tax benefits. However, the acquiring company may reap tax savings depending on the market value of the target company's assets when compared to the purchase price. Also, depending on the method of corporate combination, further tax savings may accrue to the owners of the target company.

Cashing Out: For a family-owned business, when the owners wish to retire, or otherwise leave the business and the next generation is uninterested in the business, the owners may decide to sell to another firm. For purposes of retirement or cashing out, if the deal is structured correctly, there can be significant tax savings.

To summarize, firms take the M&A route to seize the opportunities for growth, accelerate the growth of the firm, access capital and brands, gain complementary strengths, acquire new customers, expand into new product-market domains, widen their portfolios and become a one-stop-shop or end-to end solution provider of products and services.

4.8 REASONS FOR FAILURE OF MERGER AND ACQUISITION

The record of M&As world over has not been impressive. Advocates of M&As argue that they boost revenues to justify the price premium. The notion of synergy, '1+1 = 3', sounds great, but the assumptions behind this notion are too simplistic. In real life things are not that simple and rosy. Past trends show that roughly two thirds of all big mergers have not produced the desired results. Rationale behind mergers can be flawed and efficiencies from economies of scale may prove elusive. Moreover, the problems associated with trying to make merged entities work cannot be overcome easily. Reasons supporting the use of diversification have been explained in the previous section. The potential pitfalls of this strategy are explained in this section. The conclusion that one may draw from this discussion will be that "successful diversification would involve a well thought strategy in selecting a target, avoiding over-paying, creating value in the integration process."

The potential pitfalls that a firm is likely to encounter during diversification include:

Integration Difficulties: Integrating two companies following mergers and acquisition can be quite difficult. Issues such as mending two disparate corporate cultures, linking different financial and control systems, building effective financial and control systems, building effective working relationships, etc., will come to the fore and they have to be contend with.

Faulty Assumptions: A booming stock market encourages mergers, which can spell danger. Deals done with highly rated stock as currency appear easy and cheap, but underlying assumptions behind such deals is seriously flawed. Many top managers try to imitate others in attempting mergers, which can be disastrous for the company. Mergers are quite often more to do with personal glory than business growth. The executive ego plays a major role in M&A decisions, which is fuelled further by bankers, lawyers and other advisers who stand to gain from the fat fees they collect from their clients engaged in mergers. Most CEOs and top executives also get a big bonus for merger deals, no matter what happens to the share price later.

Mergers are also driven by fear psychosis: fear of globalization, rapid technological developments, or a quickly changing economic scenario that increases uncertainty can all create a strong stimulus for defensive mergers. Sometimes the management feels that they have no choice but to acquire a raider before being acquired. The idea is that only big players will survive in a competitive world.

Failure to carry out effective due-diligence: The failure to complete due-diligence often results in the acquiring firm paying excessive premiums. Due diligence involves a thorough review by the acquirer of a target company's internal books and operations. Transactions are often made contingent upon the resolution of the due diligence process. An effective due-diligence process examines a large number of items in areas as diverse as those of financing the intended transaction, differences in cultures between the two firms, tax concessions of the transaction, etc.

Inordinate increase in debt: To finance acquisitions, some companies significantly raise their levels of debt. This is likely to increase the likelihood of bankruptcy leading to downgrading of firm's credit rating. Debt also precludes investment in areas that contribute to a firm's success such as R&D, human resources development and marketing.

Too much diversification: The merger route can lead to strategic competitiveness and above-average returns. On the flip-side, firm's may lose their competitive edge due to over diversification. The threshold level at which this happens varies across companies, the reason being that different companies have different capabilities and resources that are required to make the mergers work. Crossing these threshold limits can result in overstretching these capabilities and resources leading to deteriorating performance. Evidence also suggests that a large size creates efficiencies in various organizational functions when the firm is not too large. In other words, at some level the costs required to manage the larger firm exceed the benefits of efficiency created by economies of scale.

Problems in making M&A work: Mergers can distract them from their core business, spelling doom for the company. The chances for success are further hampered if the corporate cultures of the companies are very different. When a company is acquired, the decision is typically based on product or market synergies, but cultural differences are often ignored. It's a mistake to assume that these issues are easily overcome. A McKinsey study on mergers concludes that companies often focus too narrowly on cutting costs following mergers, without paying attention to revenues and profits. The exclusive cost-cutting focus can divert attention from the day-to-day business and poor customer service. This is the main reason for the failure of mergers to create value for shareholders.

However, not all mergers fail. Size and global reach can be advantageous and tough managers can often squeeze greater efficiency out of poorly run acquired companies. The success of mergers, however, depends on how realistic the managers are and how well they can integrate the two companies without losing sight of their existing businesses. Though the acquisition strategies do not consistently produce the desired results, some studies suggest certain decisions and actions that firms may follow which can increase the probability of success. The attributes leading to successful acquisition suggested by various studies are that the:

- acquired firm has assets or resources that are complimentary to the acquiring firm's core business.
- acquisition is friendly.
- acquiring firm selects target firms and conducts negotiation carefully and methodically.
- acquiring firm has adequate cash and fovourable debt position.
- merged firms maintain low to moderate debt position.
- acquiring firm has experience with change and is flexible and adaptable.
- acquiring firm maintains sustained and consistent emphasis on R&D and innovation.

4.9 STEPS IN MERGER AND ACQUISITION DEALS

A firm that intends to take over another one must determine whether the purchase will be beneficial to the firm. To do so, it must evaluate the real worth of being acquired. Logically speaking, both sides of an M&A deal will have different ideas about the worth of a target company: the seller will tend to value the company as high as possible, while the buyer will try to get the lowest price possible. There are, however, many ways to assess the value of companies. The most common method is to look at comparable companies in an industry, but a variety of other methods and tools are used to value a target company. A few of them are listed below.

1) **Comparative Ratios**

   The following are two examples of the many comparative measures on which acquirers may base their offers:

   P/E (price-to-earnings) Ratio: With the use of this ratio, an acquirer makes an offer as a multiple of the earnings the target company is producing. Looking at the P/E for all the stocks within the same industry group will give the acquirer good guidance for what the target's P/E multiple should be.

   P/S (price-to-sales) Ratio: With this ratio, the acquiring company makes an offer as a multiple of the revenues, again, while being aware of the P/S ratio of other companies in the industry.

2) **Replacement Cost**

   In a few cases, acquisitions are based on the cost of replacing the target company. The value of a company is simply assessed based on the sum of all its equipment and staffing costs without considering the intangible aspects such as goodwill, management skills, etc. The acquiring company can literally order the target to sell at that price, or it will create a competitor for the same cost. This method of establishing a price certainly wouldn't make much sense in a service industry where the key assets—people and ideas—are hard to value and develop.

3) **Discounted Cash Flow**

An important valuation tool in M&A, the discounted cash flow analysis, determines a company's current value according to its estimated future cash flows. Future cash flows are discounted to a present value using the company's weighted average cost of capital.

4) **Synergy**

Quite often, acquiring companies pay a substantial premium on the stock value of the companies they acquire. The justification for this is the synergy factor: a merger benefits shareholders when a company's post-merger share price increases by the value of potential synergy. For buyers, the premium represents part of the post-merger synergy they expect can be achieved. The following equation solves for the minimum required synergy and offers a good way to think about synergy and how to determine if a deal makes sense. In other words, the success of a merger is measured by whether the value of the buyer is enhanced by the action. The equation:

$$\frac{\text{(Pre-merger value of both firms + synergies)}}{\text{(Post-merger number of shares)}} = \text{Pre-merger stock price}$$

Here the pre-merger stock price refers to the price of the acquiring firm. Increase in the value of the acquiring firm is a test of success of the merger. However, the practical aspects of mergers often prevent the anticipated benefits from being fully realized and the expected synergy quite often falls short of expectations.

Some more criteria to consider for valuation include:

- A reasonable purchase price - A small premium of, say, 10% above the market price is reasonable.
- Cash transactions- Companies that pay in cash tend to be more careful when calculating bids, and valuations come closer to target. When stock is used for acquisition, discipline can be a casualty.
- Sensible appetite - An acquirer should target a company that is smaller and in a business that the acquirer knows intimately. Synergy is hard to create from disparate and unrelated businesses. And, sadly, companies have a bad habit of biting off more than they can chew in mergers

The Basic Steps in Mergers and Acquisitions are:

1) **Initial Offer by the Intending Buyer**

When a company decides to go for a merger or an acquisition, it starts with a tender offer. Working with financial advisors and investment bankers, the acquiring company will arrive at an overall price that it's willing to pay for its target in cash, shares, or both. The tender offer is then frequently advertised in the business press, stating the offer price and the deadline by which the shareholders in the target company must accept (or reject) it.

2) **Response from Target Company**

Once the tender offer has been made, the target company can do one of the several things listed below:

Accept the Terms of the Offer: If the target firm's management and shareholders are happy with the terms of the transaction, they can go ahead with the deal.

Attempt to Negotiate: The tender offer price may not be high enough for the target company's shareholders to accept, or the specific terms of the deal may not be attractive. If target firm is not satisfied with the terms laid out in the tender offer, the target's management may try to work out more agreeable terms. Naturally, highly sought-after target companies that are the object of several bidders will have greater latitude for negotiation. Therefore, managers have more negotiating power if they can show that they are crucial to the merger's future success.

Execute a Poison pill or some other Hostile Takeover Defense: A target company can trigger a poison pill scheme when a hostile suitor acquires a predetermined percentage of company stock. To execute its defense, the target company grants all shareholders—except the acquirer—options to buy additional stock at a hefty discount. This dilutes the acquirer's share and stops its control of the company. It can also call in government regulators to initiate an antitrust suit.

Find a White Knight: As an alternative, the target company's management may seek out a friendly potential acquirer, or white knight. If a white knight is found, it will offer an equal or higher price for the shares than the hostile bidder.

3) **Closing the Deal**

Finally, once the target company agrees to the tender offer and regulatory requirements are met, the merger deal will be executed by means of some transaction. In a merger in which one company buys another, the acquirer will pay for the target company's shares with cash, stock, or both. A cash-for-stock transaction is fairly straightforward: target-company shareholders receive a cash payment for each share purchased. This transaction is treated as a taxable sale of the shares of the target company. If the transaction is made with stock instead of cash, then it's not taxable. There is simply an exchange of share certificates. The desire to steer clear of the taxman explains why so many M&A deals are carried out as cash-for-stock transactions.

When a company is purchased with stock, new shares from the acquirer's stock are issued directly to the target company's shareholders, or the new shares are sent to a broker who manages them for target-company shareholders. Only when the shareholders of the target company sell their new shares are they taxed. When the deal is closed, investors usually receive a new stock in their portfolio—the acquiring company's expanded stock. Sometimes investors will get new stock identifying a new corporate entity that is created by the M&A deal.

4.10 MERGERS AND ACQUISITIONS: THE INDIAN SCENARIO

M&A activity had a slow take-off in India. Traditionally, Indian promoters have been very reluctant to sell out their businesses since it was synonymous with failure and was never viewed as a sensible move. This scenario changed dramatically in the 90s with the Tatas selling TOMCO and Lakme. Suddenly selling out had become a sensible option. The second major reason for the slow take-off of M&A activity was due to the fact that even while the companies continued to decline, the banks and financial institutions, normally the biggest stakeholders in most Indian companies were reluctant to change the managements. Fortunately this situation has changed for the better. Worried about the spectre burgeoning NPAs, these institutions are now willing to force the promoters to sell out. The FIs and banks are flushed with funds and they are willing to assist big companies in acquiring new companies.

Indian cement industry was trendsetter in M&A in India. The cement industry was ripe for consolidation in many ways. The industry comprised of four or five dominant players in addition to a number of small players having economically viable capacities, but with very small market shares. Rapid expansion by the bigger players in a capital-intensive industry meant that these small players would naturally be marginalized. Moreover, the excess capacity due to rapid expansion of big players meant that the smaller players would lose money. This situation naturally spurred the merger activity in the cement industry.

The past few years were record years for M&A globally with mega deals dwarfing the previous records. M&A has also become a buzzword among Indian companies as well. HDFC-Times Bank, Gujarat Ambuja-DLF and ICICI Bank-Centurion Bank mergers were in the news for this reason. The merger wave in the country was catalyzed by economic liberalization in 1991. M&A activity is on the rise and the Indian industry has witnessed a spate of mergers and acquisitions in the past few years. Mergers and acquisitions are here to stay.

Mergers and acquisitions in India, just as in other parts of the world, are primarily aimed at expanding a company's business and profits. Acquisitions bring in more customers and business, which in turn brings in more money for the companies thus helping in its overall expansion and growth. More and more companies are, therefore, moving towards acquisitions for a fast-paced growth. Consolidation has become a compelling necessity to counter the effects of increasing globalization of businesses, declining tariff barriers, price decontrols and to please the ever demanding and discerning customers. And these pressures are expected to intensify and relentlessly batter every business in the future. The M&A activity is helping the companies restructure, gain market share or access to markets, rationalize costs and acquire brands to counter these threats. The shareholders of many companies are also supporting these moves and sharp increase in share prices is an indication of this support.

Since size and focus are factors that matter for surviving the onslaught of competition, mergers and acquisitions have emerged as key growth drivers of Indian business. Tax benefits were the sole reason to justify mergers in the past but for many Indian promoters, that is no longer an incentive. Indian companies have taken to M&A for many reasons. Experts feel that Indian companies look at M&As due to the size factor, the niche factor or for expanding their market reach. They are also of the opinion that acquisitions help in the inorganic (and quicker) growth of the business of a company. Besides these factors, the pricing pressures and consolidation of global companies by building offshore capabilities have made M&A relevant for Indian enterprises.

Many Indian companies have also followed the M&A route to grow in size by adding manpower and to facilitate overall expansion by moving into new market space. Another reason behind M&A has been to gain new customers. For instance, vMoksha, an IT firm, saw a rise in the number of its customers due to acquisitions as it expanded considerably in the US market and leveraged on the existing customer base. Similarly, Mphasis added new customers in the Japanese and Chinese markets after the acquisition of Navion. The need for skill enhancement seems to be another major reason for companies to merge and make new acquisitions. The Polaris-OrbiTech merger helped in combining skill sets of both companies, which consequently led to growth and expansion of the merged entity. Likewise, Wipro acquired GE Medical Systems Information Technology (India) to leverage its expertise in the health science domain.

4.11 SUMMARY

Diversification involves moving into new lines of business. Of the various routes to expansion, diversification is definitely the most complex and risky route. Diversification of a firm can take the form of concentric and conglomerate diversification. A firm is said to pursue concentric diversification strategy when it enters into new product or service areas belonging to different industry category but the new product or service is similar to the existing one in many respects.

The two major routes to diversification are mergers and acquisitions and strategic partnering. One plus one makes three: this equation is the special alchemy of a merger or acquisition. Although they are used synonymously, there is a slight distinction between the terms 'merger' and 'acquisition'. The term acquisition is generally used when a larger firm absorbs a smaller firm and merger is used when the combination is portrayed to be between equals.

Firms take the M&A route mainly to seize the opportunities for growth, accelerate the growth of the firm, access capital and brands, gain complementary strengths, acquire new customers, expand into new product-market domains, widen their portfolios and become a one-stop-shop or end-to-end solution provider of products and services. The three basic steps in the merger process are- offer by the acquiring firm, response by the target firm and closing the deal.

M&A activity had a slow take-off in India. However, M&A has become a buzzword among Indian companies after the economic liberalization in

1991. M&A activity is on the rise and the Indian industry has witnessed a spate of mergers and acquisitions in the past few years.

4.12 KEY WORDS

Acquisitions: A company taking over controlling interest in another company.

Concentric Diversification: A firm is said to have pursued concentric diversification strategy when it enters into new product or service area belonging to different industry but the new product or service is similar to the existing one with respect to technology or production or marketing channels or customers.

Conglomerate Diversification: Conglomerate diversification is a growth strategy in which a company seeks to grow by adding entirely unrelated products and markets to its existing business.

Diversification: Diversification involves moving into new lines of business.

Joint Ventures: Two or more organizations form a separate, independent organization for strategic purposes.

Mergers: The combining of two or more companies.

Strategic Alliances: Two or more organizations share resources, capabilities, or distinctive competencies to pursue some business purpose.

Strategic Partnering: Two or more organizations establish a relationship that combines their resources, capabilities, and core competencies to achieve some business objective.

4.13 SELF-ASSESSMENT QUESTIONS

1) What is meant by diversification? What are the pros and cons of a diversification strategy?
2) Explain the mechanics of Mergers and Acquisitions (M&A). What motivates the top management to go in for M&A?
3) What are the pitfalls that a management should take into consideration while going for M&A?
4) Explain the basic steps involved in the M&A process.
5) Discuss the M&A trends in Indian business scenario and list out the various reasons why Indian companies plan to follow M&A strategy.

4.14 REFERENCES / FURTHER READINGS

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UNIT 5 STRATEGIC ALLIANCES

Objectives

After reading this unit, you should be able to:

- explain the concept of strategic alliances;
- acquaint yourself with the worldwide trends in this area;
- identify the factors responsible for the rise of strategic alliances;
- develop an awareness of costs and benefits of alliance arrangements;
- explain the process of planning successful alliances; and
- discuss the issue of corporate responsibility of the alliance partners.

Structure

5.1 INTRODUCTION

Gallo, the world's largest producer of wine, does not grow a single grape and likewise, Nike, the world's largest producer of athletic foot-wear, does not manufacture a single shoe, Boeing, the giant aircraft manufacturer, makes little more than cockpits and wing bits (Quinn, 1995). "How is this possible?" These companies, like many other companies have entered into strategic alliances with their suppliers to do much of their actual production and manufacturing for them.

From software to steel, aerospace to apparel, the pace of strategic alliances worldwide is accelerating. Strategic alliances, broadly defined as arrangements in which two organizations conjoin to pursue common interests, are a rapidly growing phenomenon in the contemporary business environment. Alliances represent strategic responses to the powerful forces of deregulation, globalization, technological change, and time-to-market concerns. These forces have made the business environment vastly more competitive, complex, and uncertain than ever before. Companies are turning to strategic alliances in order to manage their uncertainty and risk and specifically to access a wide range of competencies, technologies and markets.

A strategic alliance is an agreement between firms to do business together in ways that go beyond normal company-to-company dealings, but fall short of a merger or a full partnership (Wheelen and Hungar, 2000). Strategic alliances can be as simple as two companies sharing their technological and/ or marketing resources. In contrast, they can be highly complex, involving several companies, located in different countries. These firms may in turn be linked with other organizations in separate alliances. The result is a maze of intertwined companies, which may be competing with each other in several product areas while collaborating in some. These alliances also range from informal "handshake" agreements to formal agreements with lengthy contracts in which the parties may also exchange equity, or contribute capital to form a joint venture corporation. Much of the discussion in the literature on strategic alliances revolves around alliances between two companies, but there is an increasing trend towards multi-company alliances. For instance, a six-company strategic alliance was formed between Apple, Sony, Motorola, Philips, AT&T and Matsushita to form General Magic Corporation to develop Telescript communications software.

In essence, strategic alliance, a form of corporate partnering, is the joining of two or more companies to exchange resources, share risks, or divide rewards from a joint enterprise. It can take any number of forms such as: a strong relationship with a major customer, a partnership with a source of distribution, a relationship with a supplier of innovation or product, or an alliance in pursuit of a common goal. Sometimes partners form a new jointly owned company. In other instances a firm purchases equity in another. Most often the relationship is defined by a contract. Many features of strategic alliances are very similar to other forms of partnering. The differences relate to the greater difficulty of achieving a good partnering relationship or developing the strategic nature of an alliance. They are harder to do because of the need to match the expectations of different cultures and business practices.

5.2 STRATEGIC ALLIANCE TRENDS

Strategic alliances are becoming more and more prominent in the global economy. According to Peter F. Drucker, the management guru, the greatest change in corporate culture, and the way business is being conducted, is the accelerating growth of relationships based not on ownership, but on partnership (Drucker, 1996). He also observed that there is not just a surge in alliances but a worldwide restructuring of companies in the shape of alliances and partnerships. His views are endorsed by the fact that even a cursory search for strategic alliances in business dailies produces numerous press releases about companies forming alliances. According to a survey by the global consulting major, Booz, Allen and Hamilton, strategic alliances are spreading in every industry and are becoming an essential driver of superior growth. The number of alliances in the world is surging — The survey also reveals that more than 20% of the revenue generated from the top 2,000 U.S. and European companies now comes from alliances, with more predicted in the near future. These same companies also earned higher return on investment (RoI) and return on equity (RoE) on their alliances than from their core businesses. The report also concludes that leading edge alliance companies are creating a string of interconnected relationships, which allows them to overpower the competition (www.boozeallen.com).

Generally two or more companies collaborate to create a new product or a service in a strategic alliance. Ideally this new product or service will bring a unique value proposition to the market as agreed by the collaborating parties. The potential of strategic alliances' strategy is enormous and if implemented correctly can dramatically improve an organization's operations and competitiveness (Brucellaria, 1997). According to a survey conducted by Coopers & Lybrand, 54 percent of firms that formed alliances did so for joint marketing and promotional purposes (Coopers and Lybrand, 1997). Companies are also forming alliances to obtain technology, to gain access to specific markets, to reduce financial risk, to reduce political risk and to achieve or ensure competitive advantage (Wheelen and Hungar, 2000). However, while many organizations often rush to jump on the bandwagon of strategic alliances, few succeed (Soursac, 1996). The failure rate of strategic alliances strategy is projected to be as high as 70 percent (Kalmbach and Roussel, 1999), and hence, an appreciation of the factors that contribute to strategic alliance success and failure is critically important.

The rest of the unit explores why and how companies are forming strategic alliances, examine risks and problems associated with entering and maintaining successful strategic alliances and identify factors that may impact the success of strategic alliances in an increasingly competitive marketplace. Important implications for the successful introduction and implementation of strategic alliances are also discussed.

5.3 FACTORS PROMOTING THE RISE OF STRATEGIC ALLIANCES

Since the 1980s, strategic alliances have been very popular. Alliances can be a powerful tool, particularly in today's world, due to the need to build differential capabilities in more areas than a company has resources or time to develop. The legendary Jack Welch, who headed GE in the past, echoing this sentiment once said, "If you think you can go it alone in today's global economy, you are highly mistaken." It is becoming more difficult for organizations to remain self-sufficient in an international business environment that demands both focus and flexibility. As companies are increasingly feeling the effects of global competition, they are trying to achieve a sustainable competitive advantage through strategic alliances.

Competitive boundaries are blurring as advances in communication and the trend toward global markets link formerly disparate products, markets, and geographical regions. Competition is no longer confined to a single nation's borders -making all firms vulnerable to threats posed by cooperative strategies. Both, rapid technological shifts and the need for rapid product innovation, are putting pressure on management to act faster and smarter with fewer resources. Effectively identifying, protecting, and enhancing one's core capabilities is the key challenge of our time. In this environment, successful companies need to select, build, and deploy the critical capabilities that can come from strategic alliances, which will enable them to gain competitive advantage, enhance customer value, and drive their markets.

The alliance approach better matches and responds to the uncertainties and complexities of today's globalized business environment. These partnerships allow access to skills and resources of other parties in order to strengthen the organization's competitive strategies. Alliance partnerships are initiated as effective strategies to overcome the skill and resource gaps encountered in gaining access to global markets. Establishing strategic alliance relationships provides access to new markets, accelerates the pace of entry, encourages the sharing of research and development, manufacturing, and/or marketing costs, broadening the product line/filling product; and learning new skills. Dowling *et al*, suggest "the partners pool, exchange, or integrate specified business resources for mutual gain. Yet, the partners remain separate businesses". In today's fast changing business landscape, strategic alliances enable businesses to gain competitive advantage through access to a partner's resources, including markets, technologies, capital and people. Teaming up with others adds complementary resources and capabilities, enabling participants to grow and expand more quickly and efficiently. Especially fast-growing companies rely heavily on alliances to extend their technical and operational resources. In the process, they save time and boost productivity by not having to develop their own, from scratch. They are thus freed to concentrate on innovation and their core business.

Many fast-growth technology companies use strategic alliances to benefit from more-established channels of distribution, marketing, or brand reputation of bigger, better-known players. However, more-traditional businesses tend to enter alliances for reasons such as geographic expansion, cost reduction, manufacturing, and other supply chain synergies. As global markets open up and competition grows, midsize companies need to be increasingly creative about how and with whom they align themselves to go to the market. All these factors have hastened and highlighted the need for strategic alliances.

To summarize, few companies have everything they need to succeed in a competitive market place alone. No matter what they need, there is someone who has it. They can, therefore, either buy what they need or partner with others. Partnering is frequently quicker and less costly. While avoiding difficult and time-consuming internal changes, partnering allows a company to:

- Rapidly move to decisively seize opportunities before they disappear.
- Respond more quickly to change with greater flexibility.
- Increase market share.
- Gain access to a new market or beat others to that market.
- Quickly shore up internal weaknesses.
- Gain a new skill or area of competence.
- Succeed although the company lacks key resources.

5.4 TYPES OF STRATEGIC ALLIANCES

Firms can enter into a number of different types of strategic alliances. These could include comparatively simple, more "distant" arrangements in which firms work with one another on a short-term or a contractually defined basis where the two parties effectively do not combine their managers, value chains, core technologies, or other skill sets. Examples of such simpler alliance vehicles include licensing, cross-marketing deals, limited forms of outsourcing, and loosely configured customer-supply arrangements. On the other hand, companies may seek to partner more closely in their cooperative ventures, combining managers, technologies, products, processes, and other value-adding assets in varying ways to bring the companies more closely together. Examples of alliance modes in this league include technology development pacts, co-production arrangements, and formal joint ventures in which the partners contribute a defined amount of capital to form a third party entity. Finally, in even more complex strategic alliance arrangements, partners can take significant equity-stake holdings in one another, thus approximating many organizational and strategic characteristics of an outright merger or acquisition.

In a study by Coopers and Lybrand (1997), they identified the following types of alliances, and found their clients were engaged in them as follows:

- joint marketing/promotion, 54 per cent;
- joint selling or distribution, 42 per cent;
- production, 26 per cent;
- design collaboration, 23 per cent;
- technology licensing, 22 per cent;
- research and development contracts, 19 per cent; and
- other outsourcing purposes, 19 per cent.

Technology Associates and Alliances, a strategic alliance consulting company, lists the following types of alliances:

Marketing and sales alliances:

- joint marketing agreements;
- value added resellers.

Product and manufacturing alliances:

- procurement-supplier alliances;
- joint manufacturing.

Technology and know-how alliances:

- technology development;
- university/industry joint research.

Technology Associates and Alliances, suggests that alliances can be hybrids between these different types. For example, an R&D alliance may be a cross between a product and manufacturing alliance and a technology and know-how alliance, and a collaborative marketing agreement is a cross between a marketing and sales alliance and a product and manufacturing alliance. The important thing to remember is that there are various types of alliances, and they may range from simple licensing arrangement, *ad hoc* alliance, joint operations, joint venture, consortia, distribution, and value-chain partnership alliances to more complex hybrid alliances.

The simplest form of strategic alliance is a **contractual arrangement**. Contractual-based strategic alliances generally are short-term arrangements that are appropriate when a formal management structure is not required. While the specific provisions of the contract will depend upon the business arrangement, the contract should address: (i) the duties and responsibilities of each party; (ii) confidentiality and non-competition; (iii) payment terms; (iv) scientific or technical milestones; (v) ownership of intellectual property; (vi) remedies for breach; and (vii) termination. Examples of contractual strategic alliances are license agreements, marketing, promotion, and distribution agreements, development agreements, and service agreements.

The most complex form of strategic alliance is a joint venture. A joint venture involves creating a separate legal entity (generally a corporation, limited liability company, or partnership) through which the business of the alliance is conducted. A joint venture may be appropriate if: (i) the parties intend a long-term alliance; (ii) the alliance will require a significant commitment of resources by each party; (iii) the alliance will require significant interaction between the parties; (iv) the alliance will require a separate management structure; or (v) if the business of the alliance may be subject to unique regulatory issues. In addition, a joint venture will be appropriate if the parties expect that the alliance ultimately may be able to function as a separate business that could be sold or taken public.

Historically, information technology and life sciences companies have sought minority equity investments from strategic commercial partners. This form of strategic alliance has gained increased popularity in the current economic climate. In many cases, the equity investment will also be accompanied by a contractual arrangement between the parties such as a license agreement or a distribution agreement. From the company's perspective, an equity investment from a strategic commercial partner may be structured on more favorable terms than those obtained from venture capitalists, and it may increase the company's valuation and enhance the company's ability to secure future rounds of funding. Venture capitalists and underwriters generally view these types of strategic alliances as validating an early stage company's technology and business model. In some cases, they have even become a condition to an underwriter taking a life science company public. The strategic commercial partner may desire this form of alliance to gain a competitive advantage through access to new technologies and to share in the upside of the other party's business through equity ownership.

The following section will focus on three broad types of strategic alliances: licensing arrangements, joint ventures, and cross-holding arrangements that include equity stakes and consortia among firms. Each broad type of strategic alliance is implemented differently and imposes its own set of managerial skills, constraints, and coordination requirements needed to build competitive advantage.

Licensing Arrangements

In most manufacturing industries, licensing represents a sale of technology or product based knowledge in exchange for market entry. In service-based firms, licensing is the right to enter a market in exchange for a fee or royalty. Licensing arrangements have become more pronounced across both categories. In many ways they represent the least sophisticated and simplest form of strategic alliance. Licensing arrangements are simple alliances because they allow the participants greater access to either a technology or market in exchange for royalties or future technology sharing than either partner could do on its own. Within the pharmaceutical industry, for example, many of the technology sharing arrangements that allow a licensee to produce and sell products developed by the licensor. The relationship between the companies does not go beyond this level. Unlike joint ventures or more complex cross-holding/equity stake consortia, licensing arrangements provide no joint equity ownership in a new entity. Companies enter into licensing agreements for several reasons. The primary reasons are: 1) a need for help in commercializing a new technology, and 2) global expansion of a brand franchise or marketing image.

Nicholas Piramal India Ltd (NPIL), for instance, has entered into a 5-year in-licensing agreement with Genzyme Corp, USA, for synvisc viscose supplementation in the Indian market. Synvisc, which is used for the treatment of osteoarthritis of the knee, has sales of $250 million in international market. It expects the market size in India to be about Rs.200 Million. Johnson & Johnson is expanding involvement in and commitment to biotechnology through new partnerships, licensing agreements, equity investments and acquisitions. Through its excellence centres such as Centocor and Ortho Biotech, and its global research, development and marketing operations to form an integrated enterprise that is well positioned to deliver biotechnology's extraordinary promise to patients and physicians around the world.

Joint Ventures

Joint ventures are more complex and formal than licensing arrangements. Unlike licensing, joint ventures involve partners' creation of a third entity representing the interests and capital of the two partners. Both partners contribute capital, distinctive skills, managers, reporting systems, and technologies to the venture in certain proportions. Joint ventures often entail complex coordination between partners in carrying out value chain activities. Firms enter into joint ventures for four reasons: 1) seeking vertical integration, 2) needing to learn a partner's skills, 3) upgrading and improving skills, and 4) shaping future industry evolution.

Vertical integration is a critical reason why many firms enter joint ventures. Vertical integration is designed to help firms enlarge the scope of their operations within a single industry. Yet, for many firms, expanding their set of activities within the value chain can be an expensive and time-consuming proposition. Joint ventures can help firms achieve the benefits of vertical integration without saddling them with higher fixed costs. This benefit is especially appealing when the core technology used in the industry is changing quickly. Joint ventures can also help firms retain some degree of control over crucial supplies at a time when investment funds are scarce and cannot be allocated to backward integration or when the company has difficulty in accessing the raw material. By partnering with the suppliers to form a strategic alliance the firm can increase the stability of its supplies. The organizations forming the alliance will have a common goal and be better integrated. This will ensure that they all have a shared interest in making certain that the alliance is successful, including ensuring the supplies of materials, information, advice or any other necessary input to the alliance is met in a timely, efficient and consistent manner. A case in point is the Jindal Stainless Steel Ltd (JSSL), which plans to source raw materials from abroad. The company is planning strategic alliances with companies in South Africa, South East Asia and Europe for long-term supplies of ferro chrome, chrome ore and nickel. The whole objective of the alliance is to ensure that supplies are managed efficiently with resultant improvements in profitability. A strategic alliance can also rationalize supply chains. By selecting integrated suppliers, the number of links in a supply chain can be significantly reduced.

Joint ventures are quite common in India. In the highly capital-intensive industries such as automobiles, chemicals, pharmaceuticals and petroleum industries, joint ventures are becoming more widespread as firms seek to overcome the high fixed costs required for managing ever more scale-intensive production processes. In all these industries, production is highly committed in nature, which means that it is difficult for firms on their own to build sufficient scale and profitability in products that often face highly volatile pricing and deep cyclical downturns when markets collapse.

For instance, Telco (now rechristened as Tata Motors) is the leader in the commercial vehicle segment with a 54% market share in Light Commercial Vehicle (LCV) and 63% market share in Medium & Heavy Commercial Vehicle (M&HCV) (2003 figures). It garnered a market share of 21% in the utility vehicle (UV) segment and a 9% market share in the passenger car industry in a short span of three years. The company is open to alliances, but is not willing to enter into any alliance without a strong underlying reason. The view of the top management is that a strategic alliance should bring complementary strengths together. Around 85% of the Indian market consists of small cars and this trend is expected to continue for the next 10-15 years. Tata Indica, which is one of the best and technologically contemporary value propositions available, caters to this segment. Hence the company is primarily interested in an alliance with a global major who can offer a better proposition in the small car market than the Indica and who already has a presence in India. Second, the company is looking for a strategic alliance to enhance their product portfolio in the more premium or niche segments and to open the overseas markets for them.

Firms often enter into joint ventures to learn another firm's distinctive skills or capabilities. In many high-technology industries, many years of development are required before a company possesses the proprietary technologies and specialized processes needed to compete effectively on its own. These skills may already be available in a potential partner. A joint venture can help firms learn these new skills without retracing the steps of innovation at great cost. For example, Voltas plans on leveraging its technology-sharing alliances with overseas collaborators, and in seeking fresh ones, for serving the domestic market. In the Air Conditioning and Refrigeration business, Voltas a new generation of clientele, such as multiplexes, shopping malls, entertainment centres and establishments in the private telecom industry and hospitality. More than mere cooling, these clients seek solutions encompassing controlled environments, with clean and pure air, and energy-efficient systems. The company is well placed to deliver these solutions by leveraging the competencies of its range of partners - for example, the success of the Vertis brand of room and split air conditioners is yet another example of the success of alliances. The Vertis brand features advanced technology from Fedders International Inc. USA, one of the world's largest manufacturers of air conditioners, with whom the company has a "manufacturing-only" joint venture. This alliance has resulted in a brand, which has moved from fifth place to second place in the Indian market in the space of two years.

Joint ventures are instrumental in helping firms with similar skills improve and build upon each other's distinctive competences. Even though some of these joint ventures are likely to involve rivals competing within the same industry, companies may still benefit from close cooperation in developing an underlying cutting-edge technology that could transform the industry. In anticipation of WTO, MNCs are strengthening their ranks in India (either setting up new 100% subsidiaries or marketing tie-ups with major domestic players. Large local players are consolidating through brand acquisitions, co-marketing/ contract manufacturing tie-ups with MNCs, etc.) and to counter this threat, Cadilla Healthcare Limited (CHL), for instance, has formed joint ventures in some of the high growth areas with CHL bringing to table its strength in manufacturing and marketing and JV partners bringing in the technology. Firms can cooperate in a joint venture to develop and commercialize new technologies that may significantly influence an industry's future direction. The need to maintain industry dynamism and momentum in research is a motivating force that drives drug companies to engage in joint ventures, even when they compete in existing product lines.

Cross-Holdings, Equity Stakes, and Consortia

The third category of strategic alliance includes some of the more complex forms of alliance arrangements. These alliances bring together companies more closely than licensing and joint venture mechanism. Broadly amalgamated together as consortia, these alliances represent highly complex and intricate linkages among groups of companies. The term consortia is used to focus on two types of complex alliance evolution: i) multi-partner alliances designed to share an underlying technology and ii) formal groups of companies that own large equity stakes in one another. In either case, consortia represent the most sophisticated form of strategic alliance and involve complex coordination mechanisms that often go beyond the boundaries of individual firms.

Activity 1

Scan the various business dailies and magazines and identify the various types of alliances Indian companies have adopted in the recent past. Also list out the various reasons which the companies have stated for forming these alliances. What benefits do these companies expect from these partnership arrangements?

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5.5 BENEFITS OF STRATEGIC ALLIANCES

In the new economy, strategic alliances enable businesses to gain competitive advantage through access to a partner's resources, including markets, technologies, capital and people. Teaming up with others adds complementary resources and capabilities, enabling participants to grow and expand more quickly and efficiently. Strategic alliances also benefit companies by reducing manufacturing costs, and developing and diffusing new technologies rapidly. Alliances are also used to accelerate product introduction and overcome legal and trade barriers expeditiously. In this era of rapid technological changes and global markets forming alliances is often the fastest, most effective method of achieving growth objectives. However, companies must ensure that the objectives of the alliance are compatible and in tune with their existing businesses so their expertise is transferable to the alliance.

Many fast-growth technology companies use strategic alliances to benefit from more-established channels of distribution, marketing, or brand reputation of bigger, better-known players. However, more-traditional businesses tend to enter alliances for reasons such as geographic expansion, cost reduction, manufacturing, and other supply-chain synergies. As global market opens up and competition grows, midsize companies need to be increasingly creative about how and with whom they align themselves to go to the market.

Firms often enter into alliances based on opportunity rather than linkage with their overall goals. This risk is greatest when a company has a surplus of cash. In recent years, Mercedes-Benz and Toyota Motor Corporation have been investing surplus funds into seemingly unrelated businesses, with Benz already facing difficulties as a result. Especially fast-growing companies rely heavily on alliances to extend their technical and operational resources. In the process, they save time and boost productivity by not having to develop their own, from scratch. They are thus freed to concentrate on innovation and their core business.

Entering New Markets

The Coopers & Lybrand study rates growth strategies and entering new markets among the top reasons for forming strategic alliances (Coopers and Lybrand, 1997). As Ohmae (1992) points out, (companies) simply do not have the time to establish new markets one-by one. In today's fast-paced world economy, this is increasingly true. Therefore, forming an alliance with an existing company already in that marketplace is a very appealing alternative. Partnering with an international company can make the expansion into unfamiliar territory a lot easier and less stressful for a company. According to the Coopers & Lybrand (1997) study, 50 percent of firms involved in alliances market their goods and services internationally versus 30 percent of non-allied participants. For instance, Tata Motors has short listed Brilliance Automotive Holdings of China to set up a joint venture for producing cars. Tata Motors, which acquired the commercial truck facility of Daewoo Motors in South Korea for Rs.465 crore, is also reported to be scouting for another joint venture in Northern China in order to have a full-fledged presence in China.

Often a company that has a successful product or service has a desire to introduce it into a new market. Yet perhaps the company recognizes that it lacks the necessary marketing expertise because it does not fully understand customer needs, does not know how to promote the product or service effectively, or does not understand or have access to the proper distribution channels. Rather than painstakingly trying to develop this expertise internally, the company may identify another organization that possesses those desired marketing skills. Then, by capitalizing on the product development skills of one company and the marketing skills of the other, the resulting alliance can serve the market quickly and effectively. Alliances may be particularly helpful when entering a foreign market for the first time because of the extensive cultural differences that may abound. They may also be effective domestically when entering regional or ethnic markets. Asian Paints, the largest paint-maker in India, acquired a strategic stake in Singapore-based Berger International in 2002. Asian Paints now appears to be trying to gain control over the Berger brand in some key regional markets like Pakistan. Berger International, which is now a subsidiary of Asian Paints, has entered into a strategic alliance with Karachi-based Berger Paints Pakistan, which is owned by the Mahmood family. Berger International will provide technical consultancy and strategic advice to Berger Pakistan, which is the second- largest paints company in Pakistan. Berger Pakistan will also have the right to import products from Asian Paints.

Reducing Manufacturing Costs

Strategic alliances may allow companies to pool capital or existing facilities to gain economies of scale or increase the use of facilities, thereby reducing manufacturing costs. In the increasingly competitive European automobile market, when the Japanese are seeking to gain market share as they did in the U.S. during the 1980s, many European companies have formed joint ventures to reduce manufacturing costs. Ford and Volkswagan are jointly planning to make four-wheel-drive vehicles in Portugal, and Nissan and Ford intent to build a plant in Spain to produce vans. These companies will benefit from cost sharing and will reduce expenses by building and operating facilities in relatively low-cost countries, at least by West European standards. Companies may also reduce costs through strategic alliances with suppliers or customer reaching agreements to supply products or services for longer periods and working together, meet customers' needs, each partner may apply its expertise, and benefits may be shared in the form of lower costs or new products.

Developing and Diffusing Technology

Alliances may also be used to build jointly on the technical expertise of two or more companies in developing products technologically beyond the capability of the companies acting independently. Not all companies can provide the technology that they need to effectively compete in their markets on their own. Therefore, they are teaming up with other companies who do have the resources to provide the technology or who can pool their resources so that together they can provide the needed technology. Both sides receive benefit from the partnership. Technology transfer is not only viewed as being significant to the success of a strategic alliance, according to Hsieh (1997): "host countries now demand more in the way of technology transfer". As evidence of this growing trend, Hsieh cites China as a prime example.

For example, Tata Consultancy Services (TCS) and ANSYS Inc, a global innovator of simulation software and product development technology, have entered into an alliance that will help their clients accelerate product development dramatically and simultaneously enhance the quality and reliability of their designs through integrated digital prototyping. The industries that will benefit include automotive, power, heavy machinery, consumer products and electronics. Customers will derive increased productivity in the design and production processes by 70-90 percent. By pooling resources to develop software products built upon the expertise of each company, TCS and ANSYS Inc intend to create a new market and reap the associated benefits.

Reduce Financial Risk and Share Costs of Research and Development

Some companies may find that the financial risk that is involved in pursuing a new product or production method is too great for a single company to undertake. In such cases, two or more companies come together and agree to spread the risk among all of them. One example of this is found in strategic alliance between the Rs.235-crore Elder Pharma, which has 25 international partners for strategic alliances, has entered into a tie-up with Reliance Life Sciences. The company is focusing on dermatology and the tie-up with Reliance is to obtain aloe vera extracts for cosmetics. Elder has launched a dedicated skincare division with products under El-Dermis brand and plans to launch a number of over the counter products in the skincare segment.

Achieve or Ensure Competitive Advantage

Alliances are particularly alluring to small businesses because they provide the tools businesses need to be competitive. For many small companies the only way they can stay competitive and even survive in today's technologically advanced, ever-changing business world is to form an alliance with another company. Small companies can realize the mutual benefits they can derive from strategic alliances in areas such as marketing, distribution, production, research and development, and outsourcing. By forming alliances with other companies, small businesses are able to accomplish bigger projects more quickly and profitably, than if they tried to do it on their own. According to Booz, Allen and Hamilton the world has entered a new age - an age of collaboration - and that only through allying can companies obtain the capabilities and resources necessary to win in the changing global marketplace. Self-reliance is an option few companies will be able to afford (Booz, Allen and Hamilton, 1997).

5.6 COSTS AND RISKS OF STRATEGIC ALLIANCES

Any firm opting for strategic alliance incurs certain costs as well as gains benefits, compared to a firm that goes on its own. Strategic alliances have their risks, particularly if the parties are not financial equals. These risks include the loss of operational control and confidentiality of proprietary information and technology. Some alliances can involve a clash of corporate cultures or the perceived diminution of independence. In addition, the parties may deprive themselves of future business opportunities with competitors of their strategic partner.

The parties must carefully consider a number of factors in the decision of whether to enter into a strategic alliance, and how best to govern the relationship once the alliance is formed. In addition to the parties' business objectives, the parties should consider a variety of accounting, tax, antitrust and intellectual property issues when structuring a strategic alliance. A properly structured strategic alliance can bring many new opportunities and enhance the parties' growth potential. In addition, it can provide an alternative source of capital during difficult economic times. The various costs/risks of entering into alliances include:

Cultural and Language Barriers

Cultural clash is probably one of the biggest problems that corporations in alliances face today. These cultural problems consist of language, egos, chauvinism, and different attitudes to business can all make the going rough. The first thing that can cause problems is the language barrier that they might face. It is important for the companies that are working together to be able to communicate and understand each other well or they are doomed before they even start. The importance of communication becomes even more paramount when operating across the participants to a strategic alliance. Language barriers at times can be a source for delays and frustrations. However, English is becoming a common international language. Communication problems may also arise because job definitions are much more specific in Western companies than in Asian companies.

Cultural differences often create problems in making strategic alliances work -especially between Asian and Western companies. For example, Japanese companies put employee interests ahead of the shareholders' interests. Western companies, on the other hand, are managed to benefit their shareholders. Such a difference can cause serious conflict over investment and dividend policies. The decision process in Asian companies often takes longer as compared to those in their Western counterparts. Patience rather than pushing for a decision becomes a helpful strategy. Not only do the cultural differences exist among international firms seeking alliances, but also corporate cultures may be different among firms from the same country. In the final analysis, flexibility and management learning are the greatest tools in overcoming this barrier.

Lack of Trust

Risk sharing is the primary bonding tool in a partnership. A sense of commitment must be generated throughout the partnership. In many alliance cases one company will point the failure finger at the partnering company. Shifting the blame does not solve the problem, but increases the tension between the partnering companies and often leads to alliance ruin. Building trust is the most important and yet most difficult aspect of a successful alliance. Only people can trust each other, not the company. Therefore, alliances need to be formed to enhance trust between individuals. The companies must form the three forms of trust, which include responsibility, equality, and reliability. Many alliances have failed due to the lack of trust causing unsolved problems, lack of understanding, and despondent relationships.

Loss of Autonomy

The firm gets committed not only to a goal of its own but that of its alliance partner. This involves cost in terms of goal displacement. The firm also loses the autonomy and hence its ability to unilaterally control the outcomes. All the partners in an alliance have control over the performance of the assigned tasks. No partner, hence, can unilaterally control the outcome of an alliance activity. Similarly, all the partners in an alliance have to depend on each other. As against these, the firm benefits in terms of gain of influence over domain and improvement in competitive positioning. This is because the firm's strengths are supplemented by the strengths of its alliance partner as well as by the synergy additionally created. This improves the value chain of the firm. The firm may also use its improved competitive position to penetrate new markets in the same country. The increase in capacities may also support the firm's presence in new markets. The firm may also gain access to the foreign markets by choosing an alliance partner based in or having operations in such countries.

The firm may not be able to use its own time-tested technology, if the alliance partner does not subscribe to it. It may have to use the dominant partner's technology, which could be different, or the combination of its own technology and its partner's. This is likely to have its impact on the stability of the firm as it gets exposed to the uncertainty of using unfamiliar technology. On the other hand, the firm develops its ability to manage uncertainty under real or perceived protective support of its experienced alliance partner. This helps the firm solve invisible and complex problems with the help of increased confidence and or support from the alliance partner. The firm may be able to specialize in its field if its alliance partner contributes to fill the missing gaps in the value chain of the firm. The firm may also diversify into other unrelated fields with the support of its alliance partner. Thus, the firm will be in a better position to ward off its competitors, who are likely to get immobilized at least for the time being as they would have to revise their strategies keeping in view the changed competitive positioning of the firm. This situation could be used by the firm to push its advantage further.

Lack of Clear Goals and Objectives

Many strategic alliances are formed for the wrong reasons. This will surely lead to disaster in the future. Many companies enter into alliances to combat industry competitors. Corporate management feels this type of action will deter competitors from focusing on their company. On the contrary, this action will raise flags that problems exist within the joining companies. The alliance may put the companies in the spotlight causing more competition. Alliances are also formed to correct internal company problems. Once again, management feels that an increase in numbers signifies a quick fix. In this case, the company is probably already doomed and is just taking another along for the ride. Many strategic alliances, although entered into for all the right reasons, do not work. Dissimilar objectives, inability to share risks and lack of trust lead to an early alliance demise. Cooperation on all issues is the key to a successful alliance. Many managers enter into an alliance without properly researching the steps necessary to ensure the basic principles of cooperation.

Lack of Coordination between Management Teams

Action taken by subordinates that are not congruent with top-level management can prove particularly disruptive, especially in instances where companies remain competitors in spite of their strategic alliance. If it were to happen that one company would go off on its own and do its own marketing and sell its own product while in alliance with another company it would for sure be grounds for the two to break up, and they would most likely end up in a legal battle which could take years to solve if it were settled at all.

Differences in Management Styles

Failure to understand and adapt to "new style" of management is a barrier to success in an alliance. Changes are required in management style to run successful alliances. The adaptation of a new style of management requires a change in corporate culture, which must be initiated and nurtured from the top. Companies need to devote more resources to understanding the alliance management process, from contract negotiations to establishing effective communications. They need to develop managers with a new set of competencies, including foreign languages, and other communicating and team-building skills. Other problems that can occur between companies in trade alliances are different attitudes among the companies; one company may deliver its goods or service behind schedule, or do a bad job producing their goods or service, which may lead to distrust between the two companies. This could upset the partner and may sometimes lead to a takeover.

Lack of Commitment

The possibility that partner firms lack ironclad commitment to the alliance could undermine the prospects of an alliance. Partner firms tend to be interested more in pursuing their self-interest than the common interest of the alliance. Such opportunistic behavior includes shirking, appropriating the partner's resources, distorting information, harboring hidden agendas, and delivering unsatisfactory products and services. Because these activities seriously jeopardize the viability of an alliance, lack of commitment to the alliance is an important component of the overall risk in strategic alliances. Commitment also gets diluted because the individuals who negotiated or implemented the initial alliance agreement may have changed due to promotions, transfers, retirement, or terminations. Continuity of total commitment for the alliance is needed at all levels in the organization without which the alliance will fail to reach its full potential.

There is a probability that an alliance may fail even when partner firms commit themselves fully to the alliance. The sources of such a risk includes environmental factors, such as government policy changes, war, and economic recession; market factors, such as fierce competition and demand fluctuations; and internal factors, such as a lack of competence in critical areas, or sheer bad luck.

Creating a Potential Competitor

One partner, for example, might be using the alliance to test a market and prepare the launch of a wholly owned subsidiary. By declining to cooperate with others in the area of its core competency, a company can reduce the likelihood of creating a competitor that would threaten its main area of business; likewise, a company can insist on contractual clauses that constrain partners from competing against it in certain products or geographic regions.

Problems of Coordination and Loss of Agility

Alliance firms, however, are likely to suffer from delays in solutions due to problems of coordination and an alert competitor may exploit this weakness in-built in any alliance to its great advantage. The competitor could use a combination of strategies which exploit the weakness of all the alliance partners timing it in such a way that the weakness of one alliance partner is exploited quickly before another alliance partner comes to its rescue to defend the alliance. This is how a competitor may induce the synergy to work in reverse in such strategic alliances. This would improve the competitor's competitive position manifold. On the other hand, the firm under strategic alliance may benefit from the rapidity of the response to the changing market demands when its new alliance partner readily supplies technologies. The delay in the use of new technology is reduced which benefits the firm in creating a competitive edge over its competitors.

Potential for Conflicts

The understanding reached among the alliance partners is crystallized into an agreement of alliance. However, no agreement can capture all the details of an understanding. The complexity increases when a situation arises which is unforeseen or not provided for in the agreement. These may create conflict over goals, domain, and methods to be followed in the alliance activity among the alliance partners and might result in setbacks to the alliance. On the other hand, the group synergy may be beneficial to the alliance partners in such a way that they support each other mutually and amicably resolve whatever differences may arise. This leads to a harmonious working relationship intra and inter alliance firms, which in turn further increases the synergic benefits and the cycle goes on. The competitor, deprived of the benefits of group synergy, would lose his competitiveness and, in turn, cohesiveness and harmony and the cycle goes on.

Difficulty in Managing Alliances

Strategic alliance is a relatively new concept in management. It is also more difficult to manage, and hence may lead to failure of strategic alliances formed even by excellent firms. A failure would mean loss of time, money, material, information, reputation, status, technological superiority, competitive position, and financial position. The benefits of success are in terms of gain of resources like time, money, information, and raw material. The firm also gains legitimacy and status and benefits through utilization of unused plant capacity. Above all, the firm has opportunities to learn, to adapt, develop competencies, or jointly develop new products as well as share the cost of product development and associated risks.

Other Issues

Experience is the best teacher in alliances but it comes at a very heavy cost. This blunts the inquisitiveness of any firm to learn through the failure of an experiment. Strategic alliance provides some security to an inexperienced firm that even if the experiment goes haywire it can look forward to rescue by the other experienced alliance partner. When the assigned tasks are to be carried out by the firm's partner in alliance, the firm still benefits by the firm being a witness to the process of implementation of such tasks. Perhaps, the most important benefit strategic alliance offers to a firm is the opportunities to learn.

Often, a firm aiming to expand its operations abroad benefits by going in for an alliance as it helps gain acceptance from the government of the foreign country. This is so because the government of the foreign country may desire involvement and development of the local firms. On the other hand, the firm may suffer restrictions from governmental regulations if the government feels that such strategic alliances would be detrimental to furtherance of the public interest. However, it would still be desirable to have strategic alliance with a foreign firm because it would be knowledgeable about the complexity of the local conditions as well as be more sensitive to the changing environmental conditions and so it may raise timely alarm for the firm to respond appropriately.

Other reasons for underperformance and failure of strategic alliances include a breakdown in trust, a change in strategy, the champions moved on, the value did not materialize, the cultures did not mesh, and the systems were not integrated. Another main reason strategic alliances fail to meet expectations is the failure to grasp and articulate their strategic intent, which includes the failure to investigate alternatives to an alliance. Lack of recognition of the close interplay between the overall strategy of the company and the role of an alliance in that strategy can also lead to failure of alliance.

Activity 2

A large number of strategic alliances have failed in India. Identify five such cases from various sources and identify the reasons for their failure.

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5.7 FACTORS CONTRIBUTING TO SUCCESSFUL STRATEGIC ALLIANCES

Senior Management Commitment

The commitment of the senior management of all companies involved in a strategic alliance is a key factor in the alliance's ultimate success. For alliances to be truly strategic they must have a significant impact on the companies' overall strategic plans; and must therefore be formulated, implemented, managed, and monitored with the full commitment of senior management. Without senior management's commitment, alliances will not receive the resources they need. If senior management is not committed to alliances, adequate managerial resources, in addition to capital, production, marketing and labor resources, may not be assigned in order for alliances to accomplish their objectives. Senior management's commitment to alliances is important not only to ensure the alliances receive the necessary resources, but also to convince others throughout the organization of the importance of the alliance. The biggest hurdle senior management has to overcome in committing itself to strategic alliances is management's own fear of a loss of control. But good partnerships, like good marriages are not built on the basis of ownership or control. It takes effort and commitment and enthusiasm from both sides if either is to realize the benefits.

Similarity of Management Philosophies

Successful partnerships are forged between those companies whose management philosophies, strategies and ideas are most similar to their own. Indeed, differences in corporate partners' personalities can often lead to tragic results. The philosophical differences of unsuccessful alliances are, in part due to cultural differences, so there is significant potential for cross-border alliances to include such widespread differences in managerial philosophies as well. Therefore, in order to ensure the best chance of success, companies should either seek partners who do have similar management philosophies, or draft an alliance agreement that adequately addresses the differences, and provides for their resolution.

The best strategy to grow via alliances may be to move slowly, and start with simple alliances and the move towards more complex ones as alliance experience and talent is acquired. Managers of strategic alliances must create and maintain an environment of trust. This is perhaps easier said than done. It requires the surrender of at least some managerial control, and it also takes time to build a high degree of trust in a business partnership.

Frequent Performance Feedback

In order for strategic alliances to succeed, their performance must be continually assessed and evaluated against the short and long-term goals and objectives for the alliance. The results of these reviews must be summarized in briefing reports, which should be distributed to management and also keyed into a strategic alliance tracking data base.

In order for the feedback monitoring system to be successful, it is important that the goals of the alliance be well defined and measurable. In addition, benchmarks for alliance performance should be set to assist management in evaluating alliance results. In general, an alliance is successful if both partners achieve their objectives. Strategic alliances are very tough to measure and evaluate, but can be done with the help of understanding the form used and understanding the goals of the companies involved.

Clearly Defined, Shared Goals and Objectives

Some alliances are highly integrated with one or more of the parent organizations and share such resources as manufacturing facilities, management staff, and support functions like payroll, purchasing, and research and development while, others may be autonomous and independent from their parent organizations. Whatever the relationship between the partners, it is extremely important that alliances are aligned with the company strategy. Top management must articulate a clear link between where it expects the industry's future profit pools will be, how to capture a larger share of those, and where, if at all, alliances fit in that plan.

Thorough Planning

Planning, commitment, and agreement are essential to the success of any relationship. The overall strategy for the alliance must be mutually developed. Key managing individuals and areas of focus for the alliance must be identified. The first step is to gain a clear understanding of the vision and values of each company. The next step is to gain agreement on the market conditions in the region of the world that the joint venture will be operating in. The next step is to clearly state the issues, strengths, and concerns of each organization. These steps allow the participants to bridge preliminary gaps of understanding at the onset of the process. During this initial fact finding meetings the partners can learn a great deal about their potential partner.

The next step is to identify areas of common ground. Here, the commonality in the strategic direction among the partners can be identified. Next the partners need to define the internal and external value of the alliance. They will also need to agree on the strategic opportunities to mutually pursue. The final step in this planning process is to create a tactical plan to address the strategic targets. Thorough planning is one of the key ingredients to the successful formation of strategic alliances.

Clearly Understood Roles

In forming strategic alliances the partners must have clearly understood roles. It is crucial that the question of control is resolved before the alliance is formed. A strategic alliance by definition falls short of a merger or a full partnership. For this reason, control is not dependent on majority ownership. The degree to which each partner is in control of operations and can offer influential input for decision making must be determined before the alliance is formed. Some firms view strategic alliances as a second-best option that they would prefer to do without. This attitude towards an alliance is problematic at best. Because of uncertainty and discomfort, the feeling is that these alliances must be closely managed and controlled so as not to get out of hand. This is a counterproductive attitude that often leads to an unsatisfactory outcome for at least one partner. If the partners in an alliance decide upfront exactly what each partner's role is in the newly formed business, then there is no misunderstanding or uncertainty as to how decisions will be made.

Global Vision

In order to succeed in an international strategic alliance, managers of firms must incorporate a global strategic vision into their enterprise. the most effective alliances are not forged simply as a means to complete one deal. Smart companies spin a web of relationships that open a series of potential projects, add value to them, and improve risk management. In order to compete in the growing international market, it will be increasingly necessary for firms to cooperate on a global level and continually build international relationships, which will facilitate the process of global competition.

Partner Selection

Partnership selection is perhaps the most important step in creating a successful alliance. A successful alliance requires the joining of two competent firms, seeking a similar goal and both intent on its success. A strategic alliance must be structured so that it is the intent of both parties that it will actually succeed - through the need for speed, adaptation, and facilitated evolution. The foundation of a successful strategic alliance is laid during the formation process. This process includes partner selection and the initial agreement between parties. Selecting an appropriate partner and deciding the agenda of the alliance are the most difficult process in the formation of an alliance. Yet done correctly, they help ensure a higher quality, longer lasting relationship. Having selected a partner, the alliance should be structured so that the firm's risks of giving too much away to the partner are reduced to an acceptable level. The safeguards are blocking off critical technology, establishing contractual safeguards, agreeing to swap valuable skills and technologies, and seeking credible commitments.

Communication between Partners: Maintaining Relationships

Communication is an essential attribute for the alliance to be successful. Without effective communication between partners, the alliance will inevitably dissolve as a result of doubt and mistrust. Ohmae best sums up the necessity for good communications in building and maintaining a strong strategic alliance relationship. An alliance is a lot like a marriage. There may be no formal contract. There is no buying and selling of equity. There are few, if any, rigidly binding provisions. It is a loose evolving kind of relationship. Sure, there are guidelines and expectations, but no one expects a precise, measured return on the initial commitment. Both partners bring to an alliance a faith that they will be stronger together than they would be separately. Both believe that each has unique skills and functional abilities the other likes. And both have to work diligently over time to make the union successful.

Activity 3

Hero Cycles of India and Honda Motor Company of Japan have successfully operated their Joint Venture and so did Wipro and GE. List out the reasons for their success.

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5.8 PLANNING FOR A SUCCESSFUL ALLIANCE

Alliance building is now fundamental to the way large companies conduct business— from technology and product development to manufacturing and marketing. The world has never been as interdependent as it is now, and all trends point to cooperation as a fundamental growing force in business. Businesses are moving from the classic "closed" system which depends on its internal capabilities and resources to an "open" system in which reliance on external capabilities and the development of complex relationships with external entities are becoming commonplace (Steele, 1989).

Strategic Alliance Model

The essence of a strategic alliance is the quest for mutual benefit - the belief that by working together to address a market need the combined offering will be more potent / valuable / successful than the contributors could deliver by themselves or through a lesser partnering relationship. It is commonplace for the boundaries between the operations of strategic alliance partners to become blurred as activities are integrated into a focused delivery capability. All effective partnering relationships have a heavy reliance on trust - for a strategic alliance to succeed this trust is absolutely fundamental.

It is important to identify the steps and variables involved in the workings of a typical strategic alliance. Barriers to the success of the alliance should also be identified. Scanning the environment for opportunities is the first step in developing strategic alliances. It includes the firm's analysis of its own strengths, weaknesses, opportunities and threats (SWOT). Clear understanding of strengths and opportunities allows the firm to set the short-term and long-term goals and objectives, while the analysis of weaknesses and threats provides direction to look for alliances. These may include competitors, suppliers, or other firms, which could provide the needed strengths. These firms constitute the group with alliance potential. The firm should perform similar analyses (SWOT) for the potential alliance partner. This not only complements the investigation as to the compatibility of the organization; but, more importantly, enables a firm to assess the capacity, both financial and physical, to form an integral and harmonious member of the alliance. The following checklist identifies the key issues to consider when contemplating entering into a strategic alliance:

1) **Choosing the partner carefully** - As ever vital to any partnering relationship absolutely critical if two companies decide to go deeper into a Strategic Alliance and integrate each other's business process. Synergy among partners is the major reason for and the advantage of the alliance. The partnership is efficient, effective and, as a result, much more competitive compared to each alliance partner performing the similar tasks individually.

2) **Clarity of purpose** - Both parties need to understand what they are expecting to get out of the relationship, how they will measure and recognize success which may not be conventional profit and revenue measures. Goal compatibility is essential among alliance partners. If they are striving for the same ends then they are more likely to achieve their objectives. Without such compatibility, the alliance partners may pull in different directions. All relationships require sharing. The foundation of strategic alliance is sharing benefits according to the agreed expectations, which may differ. A key component of each alliance that needs to be agreed up front is the expectations of all the partners in the alliance. They need to be identified and agreed so that any gaps do not become blockers to progress in the future. By forming a strategic alliance a firm seeks to change the nature and the scope of what it does. By upsizing it may be entering a more intensive and competitive market where the competition will be more intense. The firm needs to be aware of this likely situation and plan accordingly. This will influence its choice of partnering organization. In addition, if the partnering organizations share common attitudes then this is an additional factor likely to lead to successful partnering. If the alliance partners think in a similar way then they are more likely to agree on how to proceed and disputes are less likely.

3) **Select a project** - product or market area that could benefit from the increased strength and flexibility provided by Strategic Alliances. This should normally relate to an existing operation although it could be a means of breaking new ground. Select suitable partnering organizations as set out in detail in this guide. Partnering arrangements frequently focus on innovative approaches to products and process reflecting the strategic nature of the relationship as the parties strives to ensure that they are able to fully meet the objectives of the partnering agreement. They can then overcome any potential sources of difficulty in meeting those objectives.

4) **Understand** each other's business processes and realizing the full benefits from a strategic alliance normally require the integration of business processes in order to optimize the operations and eliminate duplication - another area for some tough decisions. Clear understanding of what value each partner will bring to the alliance is the foundation on which trust and relationships are built for future success.

5) An alliance plan needs to be **formulated**, such that it becomes a living document. It needs to embody both the revenue and the non-revenue (e.g. market activities, relationship building and levels of satisfaction) aspects of the alliance, with a set of supporting actions identified against members of all the partners involved. The arrangements can often be less formal than in a more normal contractual situation. This is deliberate, so that the partnering organizations can have complete flexibility and to avoid the situations of confrontation and claims arising. Flexibility in establishing and operating any partnering arrangement is of paramount importance. Again a spirit

of mutual understanding and co-operation that allows for the accommodation of variations in the operation of the agreement will enhance the benefits derived and the whole outcome of the partnering arrangement.

6) **Balancing contributions of partners** in the areas of product development, manufacturing, and marketing are necessary so that no one partner dominates the alliance. Absence of such a balance may result in the takeover of the weaker partner by the dominant firm or a short-term relationship, usually resulting in breaking the alliance without achieving its full potential. A strategic alliance requires an equal standing in the relationship between the respective partners even though the strategic alliance partners may be of different sizes. This is not a buyer-seller relationship. Understand each other's strengths - combining each other's strengths and building on these is a key aspect of gaining the maximum benefit from a strategic alliance. This often requires tough decisions to be made regarding roles and responsibilities. Careful consideration must also be given to the most appropriate formal structure for the strategic alliance to flourish.

7) **Complete trust** between the partnering organizations is an essential ingredient. This enables the resolution of confrontations and disputes, which can arise. The partnering organizations need to be able to rely implicitly on each other to act in full accord with the aims and objectives of the partnering arrangement. They need to act in a manner that will support the totality of the agreement, not their individual interests at the expense of the overall project. Above all they need to be able to discuss issues as they arise in an open and positive way to prevent minor differences becoming major crises. The risks and rewards of a partnering arrangement should be shared and allocated in the most appropriate way, in accordance with the key business drivers of each particular instance.

8) **Participation at the top** - All partnering relationships require the commitment from the top to be successful. An essential ingredient is the commitment and support of senior management of all the alliance partners. Without that commitment alliances can get into difficulty or fail. High-level support is needed at the outset to ensure that potential problems that can arise can be adequately dealt with. The commitments needed to make the alliance successful needs to permeate throughout the participating companies for it to succeed. Before a firm hopes to operate the alliance successfully it needs to gain full support from within its own organization at every level. In other words, the management must sell the idea internally. This is especially the case when contemplating a strategic alliance where the effects on the existing business will be more marked and unpredictable. This is going to be more important and challenging if it is the first time the firm has ever undertaken a partnering arrangement. The management must be prepared to seek external as well as internal support and guidance to build up the case for approval. This must include an assessment of which markets and products will be suitable for such

a new venture and why the firm has selected a particular partner or partners.

9) **Freedom to innovate** - Often the motivation to establish a strategic alliance is to stimulate innovative thinking in the joint activity. Getting the correct balance between necessary regulation and control and creative freedom is a key consideration.

10) **Have an exit strategy** - Given that a strategic alliance is a very deep relationship, then exit is likely to be a complex and potentially costly affair. Nevertheless it needs considering at the time of entry.

Recognizing these issues, taking expert advice where appropriate, and encouraging the chosen strategic alliance partner to do likewise ought to help secure a firm foundation on which to build the strategic alliance. A key feature of all successful partnering arrangements is the ability to refine and develop the processes involved continually so that they can be improved, enhanced and applied in new or enlarged situations. They are essential so that progress can be monitored, difficulties addressed and the partnering arrangement is made to work. Again the more usual requirements of national partnering apply. Examples of this are agreeing the style of the relationship, tangible objectives and continuous improvement as well as an exit strategy. Also important are such features as agreed key measures, regular joint review and audit, extension of the programme and developing new partners for the future.

5.9 CORPORATE SOCIAL RESPONSIBILITY

This is an area of increasing importance in every market and supply chain. Factors addressed here include cultural differences, differences in perceptions and beliefs and the effect of a fragile ecology. In a domestic strategic alliance, as opposed to an international situation, it is expected that there would be a shared culture; where such issues as say child labor are probably not an issue at all, because they do not arise. However, there could be just as fundamental differences between organizations on what at first might not seem such important issues. Different organizations have different attitudes and criteria that they apply to such issues as waste disposal. One may have a very strict and environmentally friendly approach to the disposal of waste products, especially hazardous ones; while the alliance partner may not. In such a case, in an alliance, one could become tarnished by the alliance partner's lesser concern with such issues. Such differences need to be ascertained, their treatment explored and a common agreed policy developed. This is a matter that needs to be addressed at the outset and embodied in any alliance plan. There will be other issues such as differences in the way human resources are treated, which will similarly need addressing. They will be more or less important as circumstances and attitudes dictate. Even more sensitive can be the effects of large-scale operations, particularly mineral extraction or even more the oil industry on not only fragile or vulnerable ecologies but also local populations or economies.

Corporate social responsibility can extend to activities not necessarily seen as being mainstream or core to your business. This could extend to supporting programmes that, while they may not directly or immediately affect a company's current business, could raise its profile in an area that could be of future benefit or even bring goodwill for future projects.

5.10 SUMMARY

From software to steel, aerospace to apparel, the pace of strategic alliances worldwide is accelerating. A strategic alliance is an agreement between firms to do business together in ways that go beyond normal company-to-company dealings, but fall short of a merger or a full partnership. Strategic alliances can be as simple as two companies sharing their technological and/ or marketing resources. In contrast, they can be highly complex, involving several companies, located in different countries. Strategic alliances are becoming more and more prominent in the global economy.

Strategic alliances enable business to gain competitive advantage through access to a partner's resources, including markets, technologies, capital and people. Teaming up with others adds complementary resources and capabilities, enabling participants to grow and expand more quickly and efficiently. Strategic alliances also benefit companies by reducing manufacturing costs, and developing and diffusing new technologies rapidly. Any firm opting for strategic alliance incurs certain costs and risks compared to a firm going alone. These risks include the loss of operational control and confidentiality of proprietary information and technology. In addition, the parties may deprive themselves of future business opportunities with competitors of their strategic partner. Alliances also raise the specter of potential conflicts, loss of autonomy, difficulties in coordination and management, mismatch of cultures, etc.

5.11 KEY WORDS

Cross-Holdings, Equity Stakes, and Consortia: These alliances bring together companies more closely than licensing and joint venture mechanism. Broadly amalgamated together as consortia, these alliances represent highly complex and intricate linkages among groups of companies.

Joint Ventures: This arrangement involves partners' creation of a third entity representing the interests and capital of the two partners. Both partners contribute capital, distinctive skills, managers, reporting systems, and technologies to the venture in certain proportions.

Licensing Arrangements: Licensing represents a sale of technology or product based knowledge in exchange for market entry in a manufacturing industry. In service-based firms, licensing is the right to enter a market in exchange for a fee or royalty.

Strategic Alliance: A strategic alliance is an agreement between firms to do business together in ways that go beyond normal company-to-company dealings, but fall short of a merger or a full partnership.

5.12 SELF-ASSESSMENT QUESTIONS

1) What do you understand from the term strategic alliances? Explain the different types of strategic alliances that companies follow? Give

examples of Indian companies for each type of strategic alliance.

2) Why do companies form strategic alliances? Explain in detail.

3) What are the risks and costs associated with strategic alliances?

4) What are the features of a successful alliance? What are the barriers to a successful alliance? Discuss.

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